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UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

Form 10-Q

(Mark One)

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**
For the quarterly period ended September 30, 2026
OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**
For the transition period from to

Commission file number: 1-13011

COMFORT SYSTEMS USA, INC.
(Exact name of registrant as specified in its charter)

Delaware	**76-0526487**
(State or other jurisdiction of Incorporation or Organization)	(I.R.S. Employer Identification No.)

9753 Katy Freeway
Suite 700
Houston, Texas 77024
(Address of Principal Executive Offices) (Zip Code)

Registrant's telephone number, including area code: **(713) 830-9600**

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock, $0.01 par value	FIX	New York Stock Exchange

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (Section 232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer ☒	Accelerated filer ☐	Non-accelerated filer ☐	Smaller reporting company ☐	Emerging growth company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Exchange Act Rule 12b-2). Yes ☐ No ☒

The number of shares outstanding of the issuer's common stock as of October 16, 2026 was 34,985,904 (excluding treasury shares of 6,137,461).

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PART I—FINANCIAL INFORMATION

Item 1. ***Financial Statements***

COMFORT SYSTEMS USA, INC.

CONSOLIDATED BALANCE SHEETS

(In Thousands, Except Share Amounts)

	September 30, 2026 (Unaudited)	December 31, 2025
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	$ 2,158,027	$ 981,898
Billed accounts receivable, less allowance for credit losses of $24,384 and $19,708, respectively	3,837,245	2,577,858
Unbilled accounts receivable, less allowance for credit losses of $2,497 and $1,508, respectively	184,114	123,197
Other receivables, less allowance for credit losses of $223 and $325, respectively	128,997	116,157
Inventories	120,921	84,066
Prepaid expenses and other	187,558	138,560
Costs and estimated earnings in excess of billings, less allowance for credit losses of $458 and $255, respectively	159,328	88,817
Total current assets	6,776,190	4,110,553
PROPERTY AND EQUIPMENT, NET	862,733	387,952
LEASE RIGHT-OF-USE ASSETS	349,631	322,922
GOODWILL	1,149,698	1,025,515
IDENTIFIABLE INTANGIBLE ASSETS, NET	548,435	485,168
DEFERRED TAX ASSETS	85,591	84,139
OTHER NONCURRENT ASSETS	33,005	24,920
Total assets	$ 9,805,283	$ 6,441,169
LIABILITIES AND STOCKHOLDERS' EQUITY		
CURRENT LIABILITIES:		
Current maturities of long-term debt	$ 5,710	$ 6,163
Accounts payable	945,969	696,348
Accrued compensation and benefits	537,663	291,722
Billings in excess of costs and estimated earnings and deferred revenue	3,872,012	2,120,262
Accrued self-insurance	41,330	42,973
Other current liabilities	508,887	236,382
Total current liabilities	5,911,571	3,393,850
LONG-TERM DEBT	43,845	139,063
LEASE LIABILITIES	324,878	302,590
DEFERRED TAX LIABILITIES	3,892	3,892
OTHER LONG-TERM LIABILITIES	185,854	153,000
Total liabilities	6,470,040	3,992,395
COMMITMENTS AND CONTINGENCIES		
STOCKHOLDERS' EQUITY:		
Preferred stock, $.01 par, 5,000,000 shares authorized, none issued and outstanding	—	—
Common stock, $.01 par, 102,969,912 shares authorized, 41,123,365 and 41,123,365 shares issued, respectively	411	411
Treasury stock, at cost, 6,129,102 and 5,946,145 shares, respectively	(858,737)	(496,006)
Additional paid-in capital	395,875	363,314
Retained earnings	3,797,694	2,581,055
Total stockholders' equity	3,335,243	2,448,774
Total liabilities and stockholders' equity	$ 9,805,283	$ 6,441,169

The accompanying notes are an integral part of these consolidated financial statements.

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COMFORT SYSTEMS USA, INC.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In Thousands, Except Per Share Data)

(Unaudited)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2026	2025	2026	2025
REVENUE	$3,766,302	$2,450,969	$9,897,290	$6,455,574
COST OF SERVICES	2,831,820	1,843,098	7,364,168	4,934,390
Gross profit	934,482	607,871	2,533,122	1,521,184
SELLING, GENERAL AND ADMINISTRATIVE EXPENSES	314,165	229,579	870,208	634,919
GAIN ON SALE OF ASSETS	(4,253)	(582)	(5,340)	(1,580)
Operating income	624,570	378,874	1,668,254	887,845
OTHER INCOME (EXPENSE):				
Interest income	15,979	6,381	35,542	13,467
Interest expense	(1,482)	(2,974)	(5,097)	(6,198)
Changes in the fair value of contingent earn-out obligations	(4,295)	(12,103)	(16,710)	(19,934)
Other	284	280	1,456	(226)
Other income (expense)	10,486	(8,416)	15,191	(12,891)
INCOME BEFORE INCOME TAXES	635,056	370,458	1,683,445	874,954
PROVISION FOR INCOME TAXES	146,012	78,843	382,421	183,202
NET INCOME	$ 489,044	$ 291,615	$1,301,024	$ 691,752
INCOME PER SHARE:				
Basic	$ 13.93	$ 8.26	$ 36.98	$ 19.55
Diluted	$ 13.91	$ 8.25	$ 36.94	$ 19.52
SHARES USED IN COMPUTING INCOME PER SHARE:				
Basic	35,116	35,307	35,183	35,379
Diluted	35,152	35,365	35,221	35,445

The accompanying notes are an integral part of these consolidated financial statements.

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COMFORT SYSTEMS USA, INC.

CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY

(In Thousands, Except Share Amounts)

(Unaudited)

	Nine Months Ended September 30, 2025						
	Common Stock		Treasury Stock		Additional Paid-In Capital	Retained Earnings	Total Stockholders' Equity
	Shares	Amount	Shares	Amount			
BALANCE AT DECEMBER 31, 2024	41,123,365	$ 411	(5,562,453)	$(273,799)	$ 350,734	$ 1,627,330	$ 1,704,676
Net income	—	—	—	—	—	169,289	169,289
Issuance of Stock:							
Issuance of shares for options exercised	—	—	—	—	—	—	—
Issuance of restricted stock & performance stock	—	—	18,448	1,156	5,445	—	6,601
Shares received in lieu of tax withholding on vested stock	—	—	(7,330)	(2,622)	—	—	(2,622)
Stock-based compensation	—	—	—	—	5,474	—	5,474
Dividends ($0.40 per share)	—	—	—	—	—	(14,162)	(14,162)
Share repurchases	—	—	(264,054)	(92,243)	—	—	(92,243)
BALANCE AT MARCH 31, 2025	41,123,365	411	(5,815,389)	(367,508)	361,653	1,782,457	1,777,013
Net income	—	—	—	—	—	230,848	230,848
Issuance of Stock:							
Issuance of shares for options exercised	—	—	12,500	830	(377)	—	453
Issuance of restricted stock & performance stock	—	—	35,609	2,337	(2,337)	—	—
Shares received in lieu of tax withholding on vested stock	—	—	(12,255)	(3,977)	—	—	(3,977)
Stock-based compensation	—	—	—	—	2,723	—	2,723
Dividends ($0.45 per share)	—	—	—	—	—	(15,871)	(15,871)
Share repurchases	—	—	(62,378)	(19,980)	—	—	(19,980)
BALANCE AT JUNE 30, 2025	41,123,365	411	(5,841,913)	(388,298)	361,662	1,997,434	1,971,209
Net income	—	—	—	—	—	291,615	291,615
Issuance of Stock:							
Issuance of shares for options exercised	—	—	8,436	565	(225)	—	340
Issuance of restricted stock & performance stock	—	—	1,424	97	(97)	—	—
Shares received in lieu of tax withholding on vested stock	—	—	(407)	(282)	—	—	(282)
Stock-based compensation	—	—	—	—	1,348	—	1,348
Dividends ($0.50 per share)	—	—	—	—	—	(17,641)	(17,641)
Share repurchases	—	—	(18,955)	(13,203)	—	—	(13,203)
BALANCE AT SEPTEMBER 30, 2025	41,123,365	$ 411	(5,851,415)	$(401,121)	$ 362,688	$ 2,271,408	$ 2,233,386

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COMFORT SYSTEMS USA, INC.

CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY

(In Thousands, Except Share Amounts)

(Unaudited)

	Nine Months Ended September 30, 2026						
	Common Stock		Treasury Stock		Additional Paid-In	Retained	Total Stockholders'
	Shares	Amount	Shares	Amount	Capital	Earnings	Equity
BALANCE AT DECEMBER 31, 2025	41,123,365	$ 411	(5,946,145)	$(496,006)	$ 363,314	$ 2,581,055	$ 2,448,774
Net income	—	—	—	—	—	370,378	370,378
Issuance of Stock:							
Issuance of shares for options exercised	—	—	9,000	754	(371)	—	383
Issuance of restricted stock & performance stock	—	—	5,674	476	7,535	—	8,011
Shares received in lieu of tax withholding on vested stock	—	—	(2,218)	(3,125)	—	—	(3,125)
Stock-based compensation	—	—	—	—	17,798	—	17,798
Dividends ($0.70 per share)	—	—	—	—	—	(24,623)	(24,623)
Share repurchases	—	—	(2,553)	(2,548)	—	—	(2,548)
BALANCE AT MARCH 31, 2026	41,123,365	411	(5,936,242)	(500,449)	388,276	2,926,810	2,815,048
Net income	—	—	—	—	—	441,602	441,602
Issuance of Stock:							
Issuance of shares for options exercised	—	—	—	—	—	—	—
Issuance of restricted stock & performance stock	—	—	25,729	2,171	(2,171)	—	—
Shares received in lieu of tax withholding on vested stock	—	—	(9,472)	(13,537)	—	—	(13,537)
Stock-based compensation	—	—	—	—	8,002	—	8,002
Dividends ($0.80 per share)	—	—	—	—	—	(28,162)	(28,162)
Share repurchases	—	—	(3,171)	(5,684)	—	—	(5,684)
BALANCE AT JUNE 30, 2026	41,123,365	411	(5,923,156)	(517,499)	394,107	3,340,250	3,217,269
Net income	—	—	—	—	—	489,044	489,044
Issuance of Stock:							
Issuance of shares for options exercised	—	—	—	—	—	—	—
Issuance of restricted stock & performance stock	—	—	1,026	143	(143)	—	—
Shares received in lieu of tax withholding on vested stock	—	—	(300)	(467)	—	—	(467)
Stock-based compensation	—	—	—	—	1,911	—	1,911
Dividends ($0.90 per share)	—	—	—	—	—	(31,600)	(31,600)
Share repurchases	—	—	(206,672)	(340,914)	—	—	(340,914)
BALANCE AT SEPTEMBER 30, 2026	41,123,365	$ 411	(6,129,102)	$(858,737)	$ 395,875	$ 3,797,694	$ 3,335,243

The accompanying notes are an integral part of these consolidated financial statements.

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COMFORT SYSTEMS USA, INC.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In Thousands)

(Unaudited)

	Nine Months Ended September 30,	
	2026	2025
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income	$ 1,301,024	$ 691,752
Adjustments to reconcile net income to net cash provided by operating activities—		
Amortization of identifiable intangible assets	69,359	59,432
Depreciation expense	60,452	44,914
Change in right-of-use assets	40,202	22,535
Bad debt expense	6,302	5,617
Deferred tax provision (benefit)	(1,452)	7,537
Amortization of debt financing costs	696	786
Gain on sale of assets	(5,340)	(1,580)
Changes in the fair value of contingent earn-out obligations	16,710	19,934
Stock-based compensation	31,248	15,746
Changes in operating assets and liabilities, net of effects of acquisitions and divestitures—		
(Increase) decrease in—		
Receivables, net	(1,166,982)	(378,644)
Inventories	(36,205)	(19,518)
Prepaid expenses and other current assets	(32,692)	(13,228)
Costs and estimated earnings in excess of billings and unbilled accounts receivable	(107,980)	(119,619)
Other noncurrent assets	(5,244)	(567)
Increase (decrease) in—		
Accounts payable and other current liabilities	681,439	(194,715)
Billings in excess of costs and estimated earnings and deferred revenue	1,692,696	564,746
Other long-term liabilities	(5,853)	12,688
Net cash provided by operating activities	2,538,380	717,816
CASH FLOWS FROM INVESTING ACTIVITIES:		
Purchases of property and equipment	(499,437)	(88,813)
Proceeds from sales of property and equipment	8,229	3,152
Cash paid for acquisitions, net of cash acquired	(262,873)	(128,594)
Payments for investments	(133,752)	(28,999)
Proceeds from investments	99,260	7,258
Net cash used in investing activities	(788,573)	(235,996)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Proceeds from revolving credit facility	—	200,000
Payments on revolving credit facility	(100,000)	(100,000)
Payments on other debt	(25,485)	(43,037)
Debt financing costs	—	(3,709)
Payments of dividends to stockholders	(84,385)	(47,674)
Share repurchases	(346,111)	(124,426)
Shares received in lieu of tax withholding	(17,129)	(6,881)
Proceeds from exercise of options	383	793
Deferred acquisition payments	(450)	—
Payments for contingent consideration arrangements	(501)	(46,302)
Net cash used in financing activities	(573,678)	(171,236)
NET INCREASE IN CASH AND CASH EQUIVALENTS	1,176,129	310,584
CASH AND CASH EQUIVALENTS, beginning of period	981,898	549,939
CASH AND CASH EQUIVALENTS, end of period	$ 2,158,027	$ 860,523

The accompanying notes are an integral part of these consolidated financial statements.

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COMFORT SYSTEMS USA, INC.

CONDENSED NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

September 30, 2026

(Unaudited)

1. Business and Organization

Comfort Systems USA, Inc., a Delaware corporation, provides comprehensive mechanical and electrical contracting services, which principally includes heating, ventilation, and air conditioning ("HVAC"), plumbing, electrical, piping, and controls, as well as off-site construction, monitoring, and fire protection. We build, install, maintain, repair, and replace mechanical, electrical, and plumbing systems throughout the United States. The terms "Comfort Systems," "we," "us," "our," or the "Company," refer to Comfort Systems USA, Inc. or Comfort Systems USA, Inc. and its consolidated subsidiaries, as appropriate in the context.

2. Summary of Significant Accounting Policies and Estimates

Basis of Presentation

These interim statements should be read in conjunction with the historical Consolidated Financial Statements and related notes of Comfort Systems included in the Annual Report on Form 10-K as filed with the Securities and Exchange Commission ("SEC") for the year ended December 31, 2025 (the "Form 10-K").

The accompanying unaudited consolidated financial statements were prepared using generally accepted accounting principles for interim financial information and the instructions to Form 10-Q and applicable rules of Regulation S-X of the SEC. Accordingly, these financial statements do not include all the footnotes required by generally accepted accounting principles for complete financial statements and should be read in conjunction with the Form 10-K. We believe all adjustments necessary for a fair presentation of these interim statements have been included and are of a normal and recurring nature. The results of operations for interim periods are not necessarily indicative of the results for the full fiscal year.

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires the use of estimates and assumptions by management in determining the reported amounts of assets and liabilities, revenue and expenses, and disclosures regarding contingent assets and liabilities. Actual results could differ from those estimates. The most significant estimates used in our financial statements affect revenue and cost recognition for construction contracts, self-insurance accruals, accounting for income taxes, fair value accounting for acquisitions, and the quantification of fair value for reporting units in connection with our goodwill impairment testing.

Recent Accounting Pronouncements

The Company has not identified any material developments related to recent accounting pronouncements since those disclosed in its Annual Report on Form 10-K for the year ended December 31, 2025.

Revenue Recognition

We recognize revenue over time for all of our services as we perform them because (i) control continuously transfers to the customer as work progresses, and (ii) we have the right to bill the customer as costs are incurred. The customer typically controls the work in process, as evidenced either by contractual

termination clauses or by our rights to payment for work performed to date, plus a reasonable profit, for delivery of products or services that do not have an alternative use to the Company.

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For the reasons listed above, revenue is recognized based on the extent of progress towards completion of the performance obligation. The selection of the method to measure progress towards completion requires judgment and is based on the nature of the products or services to be provided. We generally use a cost-to-cost input method to measure our progress towards satisfaction of the performance obligation for our contracts, as it best depicts the transfer of assets to the customer that occurs as we incur costs on our contracts. Under the cost-to-cost input method, the extent of progress towards completion is measured based on the ratio of costs incurred to date to the total estimated costs at completion of the performance obligation. Revenue, including estimated fees or profits, is recorded proportionally as costs are incurred. Costs to fulfill include labor, materials, subcontractors' costs, other direct costs, and an allocation of indirect costs.

For a small portion of our business in which our services are delivered in the form of service maintenance agreements for existing systems to be repaired and maintained, as opposed to constructed, our performance obligation is to maintain the customer's mechanical system for a specific period of time. As with construction jobs, we recognize revenue over time; however, for service maintenance agreements in which the full cost to provide services may not be known, we generally use an input method to recognize revenue, which is based on the amount of time we have provided our services out of the total time we have been contracted to perform those services. Our revenue recognition policy is further discussed in Note 3, "Revenue from Contracts with Customers."

Accounts Receivable and Allowance for Credit Losses

We are required to estimate and record the expected credit losses over the contractual life of our financial assets measured at amortized cost, including billed and unbilled accounts receivable, other receivables, and contract assets. Accounts receivable include amounts from work completed in which we have billed or have an unconditional right to bill our customers. Our trade receivables are contractually due in less than a year.

We estimate our credit losses using a loss-rate method for each of our identified portfolio segments. Our portfolio segments are construction, service, and other. While our construction and service financial assets are often with the same subset of customers and industries, our construction financial assets will generally have a lower loss rate than service financial assets due to lien rights, which we are more likely to have on construction jobs. These lien rights result in lower credit loss expenses on average compared to receivables that do not have lien rights. Financial assets classified as "other" include receivables that are not related to our core revenue-producing activities, such as receivables related to our acquisition activity from former owners, our vendor rebate program or receivables for estimated losses in excess of our insurance deductible, which are accrued with a corresponding accrued insurance liability.

Loss rates for our portfolios are based on numerous factors, including our history of credit loss expense by portfolio, the financial strength of our customers and counterparties in each portfolio, the aging of our receivables, our expectation of likelihood of payment, macroeconomic trends in the United States, and the current and forecasted nonresidential construction market trends in the United States.

In addition to the loss-rate calculations discussed above, we also record allowance for credit losses for specific receivables that are deemed to have a higher risk profile than the rest of the respective pool of receivables (*e.g.*, when we have concerns about a specific customer going bankrupt and no longer being able to pay the receivables due to us).

Unbilled Accounts Receivable

Unbilled accounts receivable are amounts due to us that we have earned under a contract where our right to payment is unconditional. A right to consideration is unconditional if only the passage of time is required before payment of the consideration is due. These items are expected to be billed and collected in the normal course of business. Other unbilled receivables where payment is subject to factors beyond just the passage of time are included in contract assets.

Income Taxes

We conduct business throughout the United States in virtually all 50 states. Our effective tax rate changes based upon our relative profitability, or lack thereof, in the federal and various state jurisdictions with differing tax rates and rules. In addition, discrete items such as tax law changes, judgments, and legal structures can impact our effective tax

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rate. These items can also include the tax treatment for impairment of goodwill and other intangible assets, changes in fair value of acquisition-related assets and liabilities, uncertain tax positions, and accounting for losses associated with underperforming operations.

In February 2023, we filed amended federal tax returns for 2019 and 2020 requesting refunds primarily from claiming the credit for increasing research activities (the "R&D tax credit"). We previously recorded benefits of $18.9 million for such refund claims in the year 2022. Following an Internal Revenue Service ("IRS") examination, the Joint Committee on Taxation approved our refunds in May 2026. As a result, our provision for income taxes in the second quarter of 2026 included a $5.3 million benefit due to a reduction in unrecognized tax benefits plus $1.4 million (or $1.1 million, net of tax) of related interest income. The cash refunds totaling $29.8 million, which were received in July 2026, include $5.3 million (or $4.2 million, net of tax) of interest income.

In early September 2023, the IRS issued interim guidance addressing, together with other topics, the treatment of research and experimental ("R&E") expenditures for taxpayers using the percentage of completion method to account for taxable income from long-term contracts. We relied on such guidance for the 2022 tax year, and the resulting reduction in taxable revenue offsets the deferral of tax deductions for R&E expenditures pursuant to the Tax Cuts and Jobs Act (2017) for the 2022 tax year. We filed our 2022 federal tax return in October 2023 requesting a refund of our $107.1 million overpayment, which was received in April 2025. Along with the refund, we received $11.3 million (or $8.9 million, net of tax) of interest income that reduced our provision for income taxes in the first quarter of 2025.

The One Big Beautiful Bill Act was enacted into law on July 4, 2025. The primary provisions of the law impacting us are the (i) reinstatement of immediate expensing of domestic R&E expenditures, together with conforming amendments to the credit for increasing research activities, (ii) reinstatement of 100% bonus depreciation, and (iii) termination of the energy efficient commercial buildings deduction. However, these provisions did not, and we expect will not, have a material effect on our operating results, cash flows, or financial condition.

Financial Instruments

Our financial instruments consist of cash and cash equivalents, U.S. Treasury bills, accounts receivable, other receivables, and accounts payable, for which we deem the carrying values approximate their fair values due to the short-term nature of these instruments, as well as notes to former owners and a revolving credit facility.

Investments

As of September 30, 2026, we had a $65.8 million investment in U.S. Treasury bills with maturities greater than 90 days but less than one year, which is recorded at amortized cost and is included in "Prepaid expenses and other" in our Consolidated Balance Sheets.

3. Revenue from Contracts with Customers

Revenue is recognized when control of the promised goods or services is transferred to our customers, in an amount that reflects the consideration to which we expect to be entitled in exchange for those goods or services. Sales-based taxes are excluded from revenue.

We provide mechanical and electrical contracting services. Our mechanical segment principally includes HVAC, plumbing, piping, and controls, as well as off-site construction, monitoring, and fire protection. Our electrical segment includes installation and servicing of electrical systems. We build, install, maintain, repair, and replace products and systems throughout the United States. All of our revenue is recognized over time as we deliver goods and services to our customers. Revenue can be earned based on an agreed-upon fixed price or based on actual costs incurred, marked up at an agreed-upon percentage.

We account for a contract when: (i) it has approval and commitment from both parties, (ii) the rights of the parties are identified, (iii) payment terms are identified, (iv) the contract has commercial substance, and (v) collectability of consideration is probable. We consider the start of a project to be when the above criteria have been met and we have either written authorization from the customer to proceed or an executed contract.

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We generally do not incur significant incremental costs related to obtaining or fulfilling a contract prior to the start of a project. On rare occasions, when significant pre-contract costs are incurred, they are capitalized and amortized over the life of the contract using a cost-to-cost input method to measure progress towards contract completion. We do not currently have any capitalized obtainment or fulfillment costs in our Consolidated Balance Sheets and have not incurred any impairment loss on such costs in the current year.

Due to the nature of the work required to be performed on many of our performance obligations, the estimation of total revenue and cost at completion (the process described below in more detail) is complex, subject to many variables, and requires significant judgment. The consideration to which we are entitled on our long-term contracts may include both fixed and variable amounts. Variable amounts can either increase or decrease the transaction price. A common example of variable amounts that can either increase or decrease contract value are pending change orders that represent contract modifications for which a change in scope has been authorized or acknowledged by our customer, but the final adjustment to contract price is yet to be negotiated. Other examples of positive variable revenue include amounts awarded upon achievement of certain performance metrics, program milestones, or cost of completion date targets and can be based upon customer discretion. Variable amounts can result in a deduction from contract revenue if we fail to meet stated performance requirements, such as complying with the construction schedule.

We include estimated amounts of variable consideration in the contract price to the extent it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved. Our estimates of variable consideration and determination of whether to include estimated amounts in the contract price are based largely on an assessment of our anticipated performance and all information (historical, current, and forecasted) that is reasonably available to us. We reassess the amount of variable consideration each accounting period until the uncertainty associated with the variable consideration is resolved. Changes in the assessed amount of variable consideration are accounted for prospectively as a cumulative adjustment to revenue recognized in the current period.

Contracts are often modified to account for changes in contract specifications and requirements. We consider contract modifications to exist when the modification either creates new, or changes the existing, enforceable rights and obligations. Most of our contract modifications are for goods or services that are not distinct from the existing performance obligation(s). The effect of a contract modification on the transaction price, and our measure of progress for the performance obligation to which it relates, is recognized as an adjustment to revenue (either as an increase or decrease) on a cumulative catch-up basis.

We have a Company-wide policy requiring periodic review of the Estimate at Completion in which management reviews the progress and execution of our performance obligations and estimated remaining obligations. As part of this process, management reviews information including, but not limited to, any outstanding key contract matters, progress towards completion and the related program schedule, identified risks and opportunities, and the related changes in estimates of revenue and costs. The risks and opportunities include management's judgment about the ability and cost to achieve the schedule (*e.g.*, the number and type of milestone events), technical requirements (*e.g.*, a newly developed product versus a mature product), and other contract requirements. Management must make assumptions and estimates regarding labor productivity and availability, the complexity of the work to be performed, the availability of materials, the length of time to complete the performance obligation (*e.g.*, to estimate increases in wages and prices for materials and related support cost allocations), execution by our subcontractors, the availability and timing of funding from our customer, and overhead cost rates, among other variables.

Based on this analysis, any adjustments to revenue, cost of services, and the related impact to operating income are recognized as necessary in the quarter when they become known. These adjustments may result from positive program performance if we determine we will be successful in mitigating risks surrounding the technical, schedule, and cost aspects of those performance obligations or realizing related opportunities and may result in an increase in operating income during the performance of individual

performance obligations. Likewise, if we determine we will not be successful in mitigating these risks or realizing related opportunities, these adjustments may result in a decrease in operating income. Changes in estimates of revenue, cost of services, and the related impact to operating income are recognized quarterly on a cumulative catch-up basis, meaning we recognize in the current period the cumulative effect of the changes on current and prior periods based on our progress towards complete satisfaction of a performance

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obligation. A significant change in one or more of these estimates could affect the profitability of one or more of our performance obligations. For projects in which estimates of total costs to be incurred on a performance obligation exceed total estimates of revenue to be earned, a provision for the entire loss on the performance obligation is recognized in the period the loss is determined.

During the three months ended September 30, 2026 and 2025, net revenue recognized from our performance obligations partially satisfied in the previous period positively impacted revenue by 4.5% and 4.0%, respectively, as a result of changes in estimates associated with performance obligations on contracts. During the nine months ended September 30, 2026 and 2025, net revenue recognized from our performance obligations partially satisfied in the previous period positively impacted revenue by 6.6% and 4.6%, respectively, as a result of changes in estimates associated with performance obligations on contracts.

Disaggregation of Revenue

Our consolidated 2026 revenue was derived from contracts to provide service activities in the mechanical and electrical segments we serve. Refer to Note 10, “Segment Information”, for additional information on our reportable segments. We disaggregate our revenue from contracts with customers by service provided, customer type, and activity type, as we believe it best depicts how the nature, amount, timing, and uncertainty of our revenue and cash flows are affected by economic factors. See details in the following tables (dollars in thousands):

Revenue by Service Provided	Three Months Ended September 30,				Nine Months Ended September 30,			
	2026		2025		2026		2025	
Mechanical segment	$2,582,889	68.6 %	$1,810,462	73.9 %	$6,940,178	70.1 %	$4,851,349	75.1 %
Electrical segment	1,183,413	31.4 %	640,507	26.1 %	2,957,112	29.9 %	1,604,225	24.9 %
Total	$3,766,302	100.0 %	$2,450,969	100.0 %	$9,897,290	100.0 %	$6,455,574	100.0 %

Revenue by Customer Type	Three Months Ended September 30,				Nine Months Ended September 30,			
	2026		2025		2026		2025	
Technology	$2,290,001	60.8 %	$1,122,528	45.8 %	$5,823,870	58.8 %	$2,734,280	42.4 %
Manufacturing	631,631	16.8 %	543,110	22.2 %	1,703,430	17.2 %	1,468,936	22.7 %
Healthcare	236,387	6.3 %	206,965	8.5 %	687,704	6.9 %	589,848	9.1 %
Education	178,515	4.6 %	171,707	7.0 %	480,184	4.9 %	527,794	8.2 %
Government	139,255	3.7 %	122,284	5.0 %	415,075	4.2 %	326,318	5.1 %
Office buildings	100,033	2.7 %	125,458	5.1 %	272,841	2.8 %	358,445	5.5 %
Retail, restaurants, and entertainment	99,942	2.7 %	88,503	3.6 %	271,121	2.7 %	250,619	3.9 %
Multi-family and residential	44,821	1.2 %	35,342	1.4 %	124,534	1.3 %	96,909	1.5 %
Other	45,717	1.2 %	35,072	1.4 %	118,531	1.2 %	102,425	1.6 %
Total	$3,766,302	100.0 %	$2,450,969	100.0 %	$9,897,290	100.0 %	$6,455,574	100.0 %

Revenue by Activity Type	Three Months Ended September 30,				Nine Months Ended September 30,			
	2026		2025		2026		2025	
New construction	$2,868,291	76.2 %	$1,597,452	65.2 %	$7,455,849	75.3 %	$3,919,402	60.7 %
Existing building construction	528,261	14.0 %	527,139	21.5 %	1,448,331	14.6 %	1,626,978	25.2 %
Service projects	190,592	5.1 %	150,383	6.1 %	473,422	4.8 %	415,868	6.5 %
Service calls, maintenance, and monitoring	179,158	4.7 %	175,995	7.2 %	519,688	5.3 %	493,326	7.6 %
Total	$3,766,302	100.0 %	$2,450,969	100.0 %	$9,897,290	100.0 %	$6,455,574	100.0 %

Contract Assets and Liabilities

Contract assets include unbilled amounts typically resulting from sales under long-term contracts when the cost-to-cost method of revenue recognition is used, revenue recognized exceeds the amount billed to the customer, and right to payment is conditional or subject to completing a milestone, such as a phase of the project. Contract assets are not considered to have a significant financing component, as they are intended to protect the customer in the event that we do not perform our obligations under the contract.

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Contract liabilities consist of advance payments and billings in excess of revenue recognized. Advance payments from customers related to work not yet started are classified as deferred revenue. Contract liabilities are not considered to have a significant financing component, as they are used to meet working capital requirements that are generally higher in the early stages of a contract and are intended to protect us from the other party failing to meet its obligations under the contract. Our contract assets and liabilities are reported in a net position on a contract-by-contract basis at the end of each reporting period.

Contract assets and liabilities in the Consolidated Balance Sheets consisted of the following amounts as of September 30, 2026 and December 31, 2025 (in thousands):

	September 30, 2026	December 31, 2025
Contract assets:		
Costs and estimated earnings in excess of billings, less allowance for credit losses	$ 159,328	$ 88,817
Contract liabilities:		
Billings in excess of costs and estimated earnings and deferred revenue	$ 3,872,012	$ 2,120,262

In the first nine months of 2026 and 2025, we recognized revenue of $1.75 billion and $944.5 million related to our contract liabilities at January 1, 2026 and 2025, respectively.

We did not have any impairment losses recognized on our receivables or contract assets in the first nine months of 2026 and 2025.

Remaining Performance Obligations

Remaining construction performance obligations represent the remaining transaction price of firm orders for which work has not been performed and exclude unexercised contract options. As of September 30, 2026, the aggregate amount of the transaction price allocated to remaining performance obligations was $17.81 billion. The Company expects to recognize revenue on approximately 65-75% of the remaining performance obligations over the next 12 months, with the remaining recognized thereafter. Our service maintenance agreements are generally one-year renewable agreements. We have adopted the practical expedient that allows us to not include service maintenance contracts with a total term of one year or less; therefore, we do not report unfulfilled performance obligations for service maintenance agreements.

4. Fair Value Measurements

Interest Rate Risk Management and Derivative Instruments

At times, we use derivative instruments to manage exposure to market risk, including interest rate risk. We currently do not have any derivatives that are accounted for as hedges under Accounting Standards Codification (“ASC”) 815.

Fair Value Measurement

We classify and disclose assets and liabilities carried at fair value in one of the following three categories:

- Level 1—quoted prices in active markets for identical assets and liabilities;
- Level 2—observable market-based inputs or unobservable inputs that are corroborated by market data; and
- Level 3—significant unobservable inputs in which little or no market data exists, therefore requiring an entity to develop its own assumptions.

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The following table summarizes the fair values and levels within the fair value hierarchy in which the fair value measurements are included for assets and liabilities measured on a recurring basis as of September 30, 2026 and December 31, 2025 (in thousands):

	Fair Value Measurements at September 30, 2026			
	Level 1	Level 2	Level 3	Total
Cash and cash equivalents	$2,158,027	$ —	$ —	$2,158,027
U.S. Treasury bills	$ —	$65,772	$ —	$ 65,772
Contingent earn-out obligations	$ —	$ —	$50,757	$ 50,757

	Fair Value Measurements at December 31, 2025			
	Level 1	Level 2	Level 3	Total
Cash and cash equivalents	$ 981,898	$ —	$ —	$ 981,898
U.S. Treasury bills	$ —	$34,357	$ —	$ 34,357
Contingent earn-out obligations	$ —	$ —	$34,842	$ 34,842

Cash and cash equivalents are held at a variety of well-known institutions and consist primarily of (i) deposit accounts, (ii) U.S. Treasury bills, and (iii) highly rated money market funds. Cash equivalents described in (ii) and (iii) above have original maturities of three months or less. The original cost of these assets approximates fair value due to their short-term maturity. We believe the carrying value of our debt associated with our revolving credit facility approximates its fair value due to the variable rate on such debt. We believe the carrying values of our notes to former owners approximate their fair values due to the relatively short remaining terms on these notes.

We own U.S. Treasury bills with maturities greater than 90 days but less than one year, which we classify as held-to-maturity in accordance with ASC 320 “Investments – Debt Securities,” given that the Company has the ability and intent to hold the investments until maturity. These investments are included within “Prepaid expenses and other” in the Consolidated Balance Sheets. Due to their short-term maturity, the amortized cost of our U.S. Treasury bills approximates their fair value.

We value contingent earn-out obligations using a probability-weighted discounted cash flow method. This fair value measurement is based on significant unobservable inputs in the market and thus represents a Level 3 measurement within the fair value hierarchy. This analysis reflects the contractual terms of the purchase agreements (*e.g.*, minimum and maximum payments, length of earn-out periods, manner of calculating any amounts due, etc.) and utilizes assumptions with regard to future cash flows and operating income, probabilities of achieving such future cash flows and operating income, and a weighted-average cost of capital. Significant changes in any of these assumptions could result in a significantly higher or lower potential liability. The contingent earn-out obligations are measured at fair value each reporting period, and changes in estimates of fair value are recognized in earnings. As of September 30, 2026, cash flows were discounted using a weighted-average cost of capital of 18.0%.

The table below presents a reconciliation of the fair value of our contingent earn-out obligations that use significant unobservable inputs (Level 3) (in thousands):

	Nine Months Ended September 30, 2026	Year Ended December 31, 2025
Balance at beginning of period	$ 34,842	$ 140,156
Issuances	19,353	4,059
Settlements	(20,148)	(142,846)
Adjustments to fair value	16,710	33,473
Balance at end of period	$ 50,757	$ 34,842

5. Acquisitions

On August 1, 2026, we acquired all of the issued and outstanding membership interests of Boys Electrical Contractors, LLC ("Boys Electrical") headquartered in Florida, for a total preliminary purchase price of $63.0 million, which included $52.2 million of cash paid on the closing date, $5.0 million in notes payable to the former owners, an earn-out that will be paid if certain financial targets are met after the acquisition date, and a working capital adjustment.

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Boys Electrical operates in Florida and provides electrical design and construction services primarily to the multi-family, healthcare, hospitality, and education sectors. As a result of the acquisition, Boys Electrical is a wholly owned subsidiary of the Company reported in our electrical segment. Additionally, on August 1, 2026, we acquired all of the issued and outstanding membership interests of a modular company in Texas for a total preliminary purchase price of $48.0 million. The modular company designs and manufactures customized building components for the healthcare, hospitality, and housing sectors and is reported in our mechanical segment. The goodwill recognized as a result of both the Boys Electrical and the modular company in Texas acquisitions is deductible for tax purposes.

On May 1, 2026, we acquired all of the issued and outstanding membership interests of R.C. Hunt Electric, LLC ("Hunt"), headquartered in Utah, for a total preliminary purchase price of $206.0 million, which included $167.2 million of cash paid on the closing date, $15.0 million in notes payable to the former owners, an earn-out that will be paid if certain financial targets are met after the acquisition date, and a working capital adjustment. Hunt operates in the Western United States and provides electrical design and construction services primarily to the industrial, technology, commercial, and infrastructure sectors. As a result of the acquisition, Hunt is a wholly owned subsidiary of the Company reported in our electrical segment. The goodwill recognized as a result of the Hunt acquisition is deductible for tax purposes.

On October 1, 2025, we acquired all of the issued and outstanding membership interests of Feyen-Zylstra Holdings, LLC ("Feyen Zylstra"), headquartered in Michigan, for a total purchase price of $110.7 million, which included $99.0 million of cash paid on the closing date, $4.3 million in notes payable to the former owners, an earn-out that will be paid if certain financial targets are met after the acquisition date, and a working capital adjustment. Feyen Zylstra operates in the Midwest and Southern United States and provides electrical design, installation, and maintenance services primarily to the industrial, technology, and healthcare sectors. As a result of the acquisition, Feyen Zylstra is a wholly owned subsidiary of the Company reported in our electrical segment. The goodwill recognized as a result of the Feyen Zylstra acquisition is deductible for tax purposes.

On October 1, 2025, we acquired all of the issued and outstanding shares of capital stock of Meisner Electric, Inc. ("Meisner"), headquartered in Florida, for a total purchase price of $75.0 million, which included $64.5 million of cash paid on the closing date, $5.0 million in notes payable to the former owners, and a working capital adjustment. Meisner operates in Florida and provides greenfield construction services and electrical design, installation, and renovation services primarily to the healthcare, commercial, and government sectors. As a result of the acquisition, Meisner is a wholly owned subsidiary of the Company reported in our electrical segment. The goodwill recognized as a result of the Meisner acquisition is not deductible for tax purposes.

On May 31, 2025, we acquired all of the issued and outstanding shares of capital stock of a mechanical service provider in New York for a total purchase price of $2.8 million, which is reported in our mechanical segment. The goodwill recognized as a result of this acquisition is deductible for tax purposes.

On May 1, 2025, we acquired all of the issued and outstanding membership interests of Right Way Plumbing & Mechanical LLC ("Right Way"), headquartered in Florida, for a total purchase price of $65.0 million, which included $49.5 million of cash paid on the closing date, $5.0 million in notes payable to the former owners, an earn-out that will be paid if certain financial targets are met after the acquisition date, and a working capital adjustment. Right Way operates in the Southeastern United States and provides plumbing installation and maintenance services. As a result of the acquisition, Right Way is included in our mechanical segment. The goodwill recognized as a result of the Right Way acquisition is deductible for tax purposes.

On January 1, 2025, we acquired all of the issued and outstanding membership interests of Century Contractors, LLC ("Century"), headquartered in North Carolina, for a total purchase price of $84.2 million, which included $73.1 million of cash paid on the closing date, $5.5 million in notes payable to the former owners, an earn-out that will be paid if certain financial targets are met after the acquisition date, and a working capital adjustment. Century operates in the Southeastern United States and specializes in

self-performing mechanical installation, pipe fabrication and installation, steel erection, equipment setting, and concrete installations. As a result of the acquisition, Century is a wholly owned

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subsidiary of the Company reported in our mechanical segment. The goodwill recognized as a result of the Century acquisition is deductible for tax purposes.

The results of operations of acquisitions are included in our consolidated financial statements from their respective acquisition dates. Our Consolidated Balance Sheets include preliminary allocations of the purchase price to the assets acquired and liabilities assumed for the applicable acquisitions pending the completion of the final valuation of intangible assets and accrued liabilities. The acquisitions completed in the current and prior year, respectively, were not material either individually or in the aggregate. Additional contingent purchase price ("earn-out") has been or will be paid if certain acquisitions achieve predetermined profitability targets. Such earn-outs, when they are not subject to the continued employment of the sellers, are estimated as of the purchase date and included as part of the consideration paid for the acquisition. If we have an earn-out under which continued employment is a condition to receipt of payment, then the earn-out is recorded as compensation expense over the period earned.

6. Goodwill and Identifiable Intangible Assets, Net

Goodwill

The changes in the carrying amount of goodwill are as follows (in thousands):

	Mechanical Segment	Electrical Segment	Total
Balance at December 31, 2024	$ 601,512	$ 273,758	$ 875,270
Acquisitions and purchase price adjustments (See Note 5)	52,897	97,348	150,245
Balance at December 31, 2025	654,409	371,106	1,025,515
Acquisitions and purchase price adjustments (See Note 5)	17,077	107,106	124,183
Balance at September 30, 2026	$ 671,486	$ 478,212	$ 1,149,698

Identifiable Intangible Assets, Net

At September 30, 2026, future amortization expense of identifiable intangible assets is as follows (in thousands):

Year ending December 31—	
2026 (remainder of the year)	$ 25,144
2027	86,539
2028	73,947
2029	67,679
2030	55,145
Thereafter	239,981
Total	$548,435

7. Debt Obligations

Debt obligations consist of the following (in thousands):

	September 30, 2026	December 31, 2025
Revolving credit facility	$ —	$ 100,000
Notes to former owners	48,950	44,575
Other debt	605	651
Total debt	49,555	145,226
Less—current portion	(5,710)	(6,163)
Total long-term portion of debt	$ 43,845	$ 139,063

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Revolving Credit Facility

On August 27, 2025, we amended our senior credit facility (as amended, the "Facility") arranged by Wells Fargo Bank, National Association, as administrative agent, and provided by a syndicate of banks, which increases our borrowing capacity from $850.0 million to $1.10 billion. The Facility is composed of a revolving credit line guaranteed by certain of our subsidiaries, in the amount of $1.10 billion. The Facility also provides for an accordion or increase option not to exceed the greater of (a) $500.0 million and (b) 1.0x Credit Facility Adjusted EBITDA (as defined in the Facility), in the form of additional revolving commitments or incremental term loans. The line of credit includes a sublimit for up to $200.0 million of letters of credit and a sublimit for up to $75.0 million of swingline loans. The Facility expires on October 1, 2030 and is secured by a first lien on substantially all of our personal property, except for assets related to projects subject to surety bonds and the equity of and assets held by certain unrestricted subsidiaries and our wholly owned captive insurance company and a second lien on our assets related to projects subject to surety bonds. As a result of the amendment, $0.3 million of unamortized costs associated with lenders who exited the Facility were written off to interest expense in the third quarter of 2025. The remaining $1.0 million of unamortized costs from the previous facility will be deferred and amortized over the term of the new Facility. In 2025, we incurred $3.7 million in financing and professional costs in connection with the amendment to the Facility, which, combined with previously unamortized costs of $1.0 million, are being amortized on a straight-line basis as a non-cash charge to interest expense over the remaining term of the Facility. As of September 30, 2026, we had no outstanding borrowings on the revolving credit facility, $86.0 million in letters of credit outstanding, and $1.01 billion of credit available.

There are two interest rate options for borrowings under the Facility, the Base Rate Loan (as defined in the Facility) option and the Secured Overnight Financing Rate ("SOFR") Loan option. These interest rates are floating rates determined by the broad financial markets, meaning they can and do move up and down from time to time. Additional margins are then added to these two interest rates:

	Net Leverage Ratio				
	Less than 1.00	1.00 to less than 1.75	1.75 to less than 2.50	2.50 to less than 3.00	3.00 or greater
Additional per annum interest margin added under:					
Base rate loan option	0.00 %	0.25 %	0.50 %	0.75 %	1.00 %
SOFR loan option	1.00 %	1.25 %	1.50 %	1.75 %	2.00 %

There were no outstanding borrowings on the revolving credit facility as of September 30, 2026. The weighted-average interest rate applicable to the borrowings under the revolving credit facility was approximately 5.0% as of December 31, 2025.

Certain of our vendors require letters of credit to ensure reimbursement for amounts they are disbursing on our behalf, such as to beneficiaries under our self-funded insurance programs. We have also occasionally used letters of credit for certain contracts to guarantee performance and ensure payment to our subcontractors and vendors. Our lenders issue such letters of credit through the Facility. A letter of credit commits the lenders to pay specified amounts to the holder of the letter of credit if the holder demonstrates that we have failed to perform specified actions. If this were to occur, we would be required to reimburse the lenders for amounts they fund to honor the letter of credit holder's claim. Absent a claim, there is no payment or reserving of funds by us in connection with a letter of credit. However, because a claim on a letter of credit would require immediate reimbursement by us to our lenders, letters of credit are treated as a use of Facility capacity. The letter of credit fees range from 1.00% to 2.00% per annum, based on the Net Leverage Ratio.

Commitment fees are payable on the portion of the revolving loan capacity not in use for borrowings or letters of credit at any given time. These fees range from 0.15% to 0.25% per annum, based on the Net Leverage Ratio.

The Facility contains financial covenants defining various financial measures and the level of these measures with which we must comply. Covenant compliance is assessed as of each quarter end. We were in compliance with all of our financial covenants as of September 30, 2026.

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Notes to Former Owners

We have outstanding notes to the former owners of our acquired companies. Together, these notes had an outstanding balance of $49.0 million as of September 30, 2026. On September 30, 2026, future principal payments of notes to former owners by maturity year were as follows (dollars in thousands):

	Balance at September 30, 2026	Range of Stated Interest Rates
2027	$ 10,700	4.0 - 4.3 %
2028	14,250	4.3 - 5.5 %
2029	24,000	4.5 %
Total	$ 48,950	

8. Commitments and Contingencies

Claims and Lawsuits

We are subject to certain legal and regulatory claims, including lawsuits arising in the normal course of business. We maintain various insurance coverages to minimize financial risk associated with these claims. We have estimated and provided accruals for probable losses and related legal fees associated with certain litigation in the consolidated financial statements. While we cannot predict the outcome of these proceedings, in management's opinion and based on reports of counsel any liability arising from these matters individually and in the aggregate will not have a material effect on our operating results, cash flows, or financial condition after giving effect to provisions already recorded.

As of September 30, 2026, we recorded an accrual that is immaterial to our financial statements for unresolved matters based on our analysis of likely outcomes related to the respective matters; however, it is possible that the ultimate outcome and associated costs will deviate from our estimates and that, in the event of an unexpectedly adverse outcome, we may experience additional costs and expenses in future periods.

Surety

Many customers, particularly in connection with new construction, require us to post performance and payment bonds issued by a financial institution known as a surety. If we fail to perform under the terms of a contract or to pay subcontractors and vendors who provided goods or services under a contract, the customer may demand that the surety make payments or provide services under the bond. We must reimburse the surety for any expenses or outlays it incurs.

Current market conditions for surety markets and bonding capacity are adequate, with acceptable terms and conditions. Historically, approximately 10% to 20% of our business has required bonds. While we currently have strong surety relationships to support our bonding needs, future market conditions or changes in the sureties' assessments of our operating and financial risk could cause the sureties to decline to issue bonds for our work. If that were to occur, the alternatives include doing more business that does not require bonds, posting other forms of collateral for project performance, such as letters of credit or cash, and seeking bonding capacity from other sureties. We would likely also encounter concerns from customers, suppliers, and other market participants as to our creditworthiness. While we believe our general operating and financial characteristics would enable us to ultimately respond effectively to an interruption in the availability of bonding capacity, such an interruption would likely cause our revenue and profits to decline in the near term.

Self-Insurance

We are substantially self-insured for workers' compensation, employer's liability, auto liability, general liability, and other ancillary coverages, due to the relatively high per-incident deductibles and retained losses that we absorb under our insurance arrangements for these risks. We primarily manage and

maintain our insured risks through our wholly owned captive insurance company. Loss estimates associated with the larger and longer-developing risks,

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such as workers' compensation, auto liability, and general liability, are reviewed and estimated by a third-party actuary quarterly, and we accrue for these exposures based on that analysis.

9. Stockholders' Equity

Earnings Per Share

Basic earnings per share ("EPS") is computed by dividing net income by the weighted-average number of shares of common stock outstanding during the year. Diluted EPS is computed considering the dilutive effect of stock options, restricted stock, restricted stock units, and performance stock units. The vesting of contingently issuable performance stock units is based on the achievement of certain EPS targets and total shareholder return. These shares are considered contingently issuable shares for purposes of calculating diluted EPS. These shares are not included in the diluted EPS denominator until the performance criteria are met, if it is assumed that the end of the reporting period was the end of the contingency period.

Unvested restricted stock, restricted stock units, and performance stock units are included in diluted weighted-average shares outstanding until the shares and units vest. Upon vesting, the vested restricted stock, restricted stock units, and performance stock units are included in basic weighted-average shares outstanding from the vesting date.

The number of anti-dilutive stock-based awards excluded from the calculation of diluted EPS was less than 0.1 million for the three and nine months ended September 30, 2026 and 2025.

The following table reconciles the number of shares outstanding with the number of shares used in computing basic and diluted EPS for each of the periods presented (in thousands):

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2026	2025	2026	2025
Common shares outstanding, end of period	34,994	35,272	34,994	35,272
Effect of using weighted-average common shares outstanding	122	35	189	107
Shares used in computing earnings per share—basic	35,116	35,307	35,183	35,379
Effect of shares issuable under stock option plans based on the treasury-stock method	—	12	2	20
Effect of restricted and contingently issuable shares	36	46	36	46
Shares used in computing earnings per share—diluted	35,152	35,365	35,221	35,445

Share Repurchase Program

On March 29, 2007, our Board of Directors (the "Board") approved a stock repurchase program to acquire up to 1.0 million shares of our outstanding common stock. Subsequently, the Board has from time to time increased the number of shares that may be acquired under the program and approved extensions of the program. On May 16, 2025, the Board approved an extension to the program by increasing the shares authorized for repurchase by 0.4 million shares. Since the inception of the repurchase program, the Board has approved 11.8 million shares to be repurchased. As of September 30, 2026, we have repurchased a cumulative total of 11.1 million shares at an average price of $80.67 per share under the repurchase program.

The share repurchases will be made from time to time at our discretion in the open market or privately negotiated transactions, including pursuant to Rule 10b5-1 share repurchase plans, as permitted by securities laws and other legal requirements, and subject to market conditions and other factors. The Board may modify, suspend, extend, or terminate the program at any time. During the nine months ended September 30, 2026, we repurchased 0.2 million shares for $349.1 million, inclusive of the applicable excise tax, at an average price of $1,643.85 per share.

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10. Segment Information

Our activities are within the mechanical services industry and the electrical services industry, which represent our two reportable segments. We aggregate our operating segments into two reportable segments, as the operating segments meet all of the aggregation criteria. The following tables present information about our reportable segments (in thousands):

	Mechanical Segment	Electrical Segment	Corporate	Consolidated
Total assets at September 30, 2026	$ 4,918,736	$ 2,724,730	$ 2,161,817	$ 9,805,283
Total assets at December 31, 2025	$ 3,683,678	$ 1,765,570	$ 991,921	$ 6,441,169

	Three Months Ended September 30, 2026			
	Mechanical Segment	Electrical Segment	Corporate	Consolidated
Revenue	$ 2,582,889	$ 1,183,413	$ —	$ 3,766,302
Cost of services	1,935,615	896,205	—	2,831,820
Gross profit	647,274	287,208	—	934,482
Selling, general and administrative expenses	181,701	113,846	18,618	314,165
Gain on sale of assets	(4,015)	(238)	—	(4,253)
Operating income (loss)	$ 469,588	$ 173,600	$ (18,618)	$ 624,570
Reconciliation to income before income taxes:				
Other income (expense)				10,486
Income before income taxes				$ 635,056
Amortization of identifiable intangible assets	$ 10,831	$ 14,860	$ —	$ 25,691
Depreciation expense	$ 17,885	$ 3,612	$ 353	$ 21,850
Capital expenditures	$ 196,538	$ 13,511	$ 551	$ 210,600

	Three Months Ended September 30, 2025			
	Mechanical Segment	Electrical Segment	Corporate	Consolidated
Revenue	$ 1,810,462	$ 640,507	$ —	$ 2,450,969
Cost of services	1,370,687	472,411	—	1,843,098
Gross profit	439,775	168,096	—	607,871
Selling, general and administrative expenses	152,442	60,021	17,116	229,579
Gain on sale of assets	(418)	(164)	—	(582)
Operating income (loss)	$ 287,751	$ 108,239	$ (17,116)	$ 378,874
Reconciliation to income before income taxes:				
Other income (expense)				(8,416)
Income before income taxes				$ 370,458
Amortization of identifiable intangible assets	$ 14,001	$ 5,525	$ —	$ 19,526
Depreciation expense	$ 13,048	$ 2,600	$ 400	$ 16,048
Capital expenditures	$ 28,881	$ 5,787	$ 664	$ 35,332

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	Nine Months Ended September 30, 2026			
	Mechanical Segment	Electrical Segment	Corporate	Consolidated
Revenue	$ 6,940,178	$ 2,957,112	$ —	$ 9,897,290
Cost of services	5,150,117	2,214,051	—	7,364,168
Gross profit	1,790,061	743,061	—	2,533,122
Selling, general and administrative expenses	500,613	295,525	74,070	870,208
Gain on sale of assets	(4,988)	(352)	—	(5,340)
Operating income (loss)	$ 1,294,436	$ 447,888	$ (74,070)	$ 1,668,254
Reconciliation to income before income taxes:				
Other income (expense)				15,191
Income before income taxes				$ 1,683,445
Amortization of identifiable intangible assets	$ 32,037	$ 37,322	$ —	$ 69,359
Depreciation expense	$ 49,529	$ 9,813	$ 1,110	$ 60,452
Capital expenditures	$ 468,570	$ 29,325	$ 1,542	$ 499,437

	Nine Months Ended September 30, 2025			
	Mechanical Segment	Electrical Segment	Corporate	Consolidated
Revenue	$ 4,851,349	$ 1,604,225	$ —	$ 6,455,574
Cost of services	3,732,449	1,201,941	—	4,934,390
Gross profit	1,118,900	402,284	—	1,521,184
Selling, general and administrative expenses	421,786	159,302	53,831	634,919
Gain on sale of assets	(1,141)	(439)	—	(1,580)
Operating income (loss)	$ 698,255	$ 243,421	$ (53,831)	$ 887,845
Reconciliation to income before income taxes:				
Other income (expense)				(12,891)
Income before income taxes				$ 874,954
Amortization of identifiable intangible assets	$ 42,857	$ 16,575	$ —	$ 59,432
Depreciation expense	$ 36,545	$ 7,361	$ 1,008	$ 44,914
Capital expenditures	$ 72,179	$ 15,419	$ 1,215	$ 88,813

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Item 2. ***Management's Discussion and Analysis of Financial Condition and Results of Operations***

The following discussion and analysis should be read in conjunction with our historical consolidated financial statements and related notes included elsewhere in this Quarterly Report on Form 10-Q and the Annual Report on Form 10-K filed with the Securities and Exchange Commission for the year ended December 31, 2025 (the "Form 10-K"). This discussion contains "forward-looking statements" regarding our business and industry within the meaning of applicable securities laws and regulations. These statements are based on our current plans and expectations and involve risks and uncertainties that could cause our actual future activities and results of operations to be materially different from those set forth in the forward-looking statements. Important factors that could cause actual results to differ include risks set forth in "Item 1A. Risk Factors" included in our Form 10-K. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements, except as required by law. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. The terms "Comfort Systems," "we," "us," "our," or the "Company," refer to Comfort Systems USA, Inc. or Comfort Systems USA, Inc. and its consolidated subsidiaries, as appropriate in the context.

Introduction and Overview

We are a national provider of comprehensive mechanical and electrical installation, renovation, maintenance, repair, and replacement services within the mechanical and electrical services industries. We operate primarily in the commercial, industrial, and institutional markets and perform most of our work in technology, manufacturing, healthcare, education, government, office, and retail facilities. We operate our business in two reportable segments: mechanical and electrical.

Nature and Economics of Our Business

In our mechanical business segment, customers hire us to ensure heating, ventilation, and air conditioning ("HVAC") systems deliver specified or generally expected heating, cooling, conditioning, and circulation of air in a facility. This entails installing core system equipment such as packaged heating and air conditioning units, or, in the case of larger facilities, separate core components such as chillers, boilers, air handlers, and cooling towers. We also typically install connecting and distribution elements such as piping and ducting.

In our electrical business segment, our principal business activity is electrical construction and engineering in the commercial and industrial fields. We also perform electrical contracting services and electrical service work.

In both our mechanical and electrical business segments, our responsibilities usually require conforming the systems to pre-established engineering drawings and equipment and performance specifications, which we frequently participate in establishing. Our project management responsibilities include staging equipment and materials to project sites, deploying labor to perform the work, and coordinating with other service providers on the project, including any subcontractors we might use to deliver our portion of the work.

Approximately 94.7% of our revenue is earned on a project basis for installation services in newly constructed facilities or for replacement of systems in existing facilities. When competing for project business, we usually estimate the costs we will incur on a project and then propose a bid to the customer that includes a contract price and other performance and payment terms. Our bid price and terms are intended to cover our estimated costs on the project and provide a profit margin to us commensurate with the value of the installed system to the customer, the risk that project costs or duration will vary from estimate, the schedule on which we will be paid, the opportunities for other work that we might forego by committing capacity to this project, and other costs that we incur to support our operations but which are not specific to the project. Typically, customers will seek pricing from competitors for a given project. While the criteria on which customers select a provider vary widely and include factors such as quality, technical expertise, on-time performance, post-project support and service, and company history and

financial strength, we believe that price for value is the most influential factor for most customers in choosing a mechanical or electrical installation and service provider.

After a customer accepts our bid, we generally enter into a contract with the customer that specifies what we will deliver on the project, what our related responsibilities are, and how much and when we will be paid. Our overall

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price for the project is typically set at a fixed amount in the contract, although changes in project specifications or work conditions that result in unexpected additional work are usually subject to additional payment from the customer via what are commonly known as change orders. Project contracts typically provide for periodic billings to the customer as we meet progress milestones or incur costs on the project. Project contracts in our industry also frequently allow for a small portion of progress billings or contract price to be withheld by the customer until after we have completed the work. Amounts withheld under this practice are known as retention or retainage.

Labor, materials, and overhead costs account for the majority of our cost of services. Accordingly, labor management and utilization have the most impact on our project performance. Given the fixed price nature of much of our project work, if our initial estimate of project costs is wrong or we incur cost overruns that cannot be recovered in change orders, we can experience reduced profits or even significant losses on fixed price project work. We also perform some project work on a cost-plus or time-and-materials basis, under which we are paid our costs incurred plus an agreed-upon profit margin, and such projects are sometimes subject to a guaranteed maximum cost. These margins are frequently less than fixed-price contract margins because there is less risk of unrecoverable cost overruns in cost-plus or time and materials work.

As of September 30, 2026, we had 9,399 projects in process. Our average project takes six to nine months to complete, with an average contract price of approximately $3.8 million. Our projects generally require working capital funding of equipment and labor costs. Customer payments on periodic billings generally do not recover these costs until late in the job. Our average project duration, together with typical retention terms as discussed above, generally allow us to complete the realization of revenue and earnings in cash within one year. We have what we consider to be a well-diversified distribution of revenue across end-use sectors that we believe reduces our exposure to negative developments in any given sector. Because of the integral nature of our services to most buildings, we have the legal right in almost all cases to attach liens to buildings or related funding sources when we have not been fully paid for installing systems, except with respect to some government buildings. The service work that we do, which is discussed further below, usually does not give rise to lien rights.

We also perform larger projects. Taken together, projects with contract prices of $2 million or more totaled $34.03 billion of aggregate contract price as of September 30, 2026, or approximately 95% of a total aggregate contract price for all projects in progress, totaling $35.91 billion. Generally, projects closer in size to $2 million will be completed in one year or less. It is unusual for us to work on a project that exceeds two years in length.

A stratification of projects in progress as of September 30, 2026, by aggregate contract price, is as follows:

Contract Price of Project	No. of Projects	Aggregate Contract Price (in millions)
Under $2 million	8,022	$ 1,874.7
$2 million - $10 million	804	3,590.3
$10 million - $25 million	247	3,976.4
$25 million - $50 million	174	6,065.7
Greater than $50 million	152	20,399.4
Total	9,399	$ 35,906.5

In addition to project work, approximately 5.3% of our revenue represents maintenance and repair service on already installed HVAC, electrical, and controls systems. This kind of work usually takes from a few hours to a few days to perform. Prices to the customer are based on the equipment and materials used in the service as well as technician labor time. We usually bill the customer for service work when it is complete, typically with payment terms of up to 30 days. We also provide maintenance and repair services under ongoing contracts. Under these contracts, we are paid regular monthly or quarterly amounts and

provide specified service based on customer requirements. These agreements typically are for one or more years and frequently contain 30- to 60-day cancellation notice periods.

A relatively small portion of our revenue comes from national and regional account customers. These customers typically have multiple sites and contract with us to perform maintenance and repair service. These contracts may also provide for us to perform new or replacement systems installation. We operate a national call center to dispatch

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technicians to sites requiring service. We perform the majority of this work with our own employees, with the balance being subcontracted to third parties that meet our performance qualifications.

Profile and Management of Our Operations

We manage our 52 operating units based on a variety of factors. Financial measures we emphasize include profitability and use of capital as indicated by cash flow and by other measures of working capital principally involving project cost, billings, and receivables. We also monitor selling, general, administrative, and indirect project support expenses, backlog, workforce size and mix, growth in revenue and profits, variation of actual project costs from original estimates, and overall financial performance in comparison to budget and updated forecasts. Operational factors we emphasize include project selection, estimating, pricing, safety, management and execution practices, labor utilization, training, and the make-up of both existing backlog as well as new business being pursued, in terms of project size, technical application, facility type, end-use customers and industries, and location of the work.

Most of our operations compete on a local or regional basis. Attracting and retaining effective operating unit managers is an important factor in our business, particularly in view of the relative uniqueness of each market and operation, the importance of relationships with customers and other market participants, such as architects and consulting engineers, and the high degree of competition and low barriers to entry in most of our markets. Accordingly, we devote considerable attention to operating unit management quality, stability, and contingency planning, including related considerations of compensation and non-competition protection where applicable.

Economic and Industry Factors

As a mechanical and electrical services provider, we operate in the broader nonresidential construction services industry and are affected by trends in this sector. While we do not have operations in all major cities of the United States, we believe our national presence is extensive enough that we experience trends in demand for and pricing of our services that are consistent with trends in the national nonresidential construction sector. As a result, we monitor the views of major construction sector forecasters along with macroeconomic factors they believe drive the sector, including trends in gross domestic product, interest rates, business investment, employment, demographics, and the fiscal condition of federal, state, and local governments.

Spending decisions for building construction, renovation, and system replacement are generally made on a project basis, usually with some degree of discretion as to when and if projects proceed. With larger amounts of capital, time, and discretion involved, spending decisions are affected to a significant degree by uncertainty – particularly concerns about economic and financial conditions and trends. We have experienced periods of time when economic weakness caused a significant slowdown in decisions to proceed with installation and replacement project work.

Operating Environment and Management Emphasis

We have experienced increasing demand since 2022, culminating in an unprecedented overall demand environment in 2025 and through the third quarter of 2026. We currently expect that the demand environment, especially for manufacturing and technology customers, will remain at high levels for the remainder of 2026 and for 2027. Over the last several years, we have also experienced increases in labor costs and delays in delivery of certain materials and equipment. We anticipate that cost pressures and intermittent delays in our supply chain will persist over the next several quarters.

We have a credit facility in place with terms we believe are favorable that does not expire until October 2030. As of September 30, 2026, we had $1.01 billion of credit available to borrow under our credit facility. We have strong surety relationships to support our bonding needs, and we believe our relationships with the surety markets are strong and benefit from our operating history and financial position. We have generated positive free cash flow in each of the last 27 calendar years and will continue

our emphasis in this area. We believe that the relative size and strength of our Balance Sheet and surety relationships, as compared to most companies in our industry, represent competitive advantages for us.

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As discussed at greater length in “Results of Operations” below, we expect price competition to continue as local and regional industry participants compete for customers.

Cyclicality and Seasonality

The construction industry is subject to business cycle fluctuation. As a result, our volume of business, particularly in new construction projects and renovation, may be adversely affected by declines in new installation and replacement projects in various geographic regions of the United States during periods of economic weakness.

The mechanical and electrical contracting industries are also subject to seasonal variations. The demand for new installation and replacement is generally lower during the winter months (the first quarter of the year) due to reduced construction activity during inclement weather and less use of air conditioning during the colder months. Demand for our services is generally higher in the second and third calendar quarters due to increased construction activity and increased use of air conditioning during the warmer months. Accordingly, we expect our revenue and operating results will generally be lower in the first calendar quarter.

Critical Accounting Estimates

Management believes that there have been no significant changes during the three months ended September 30, 2026 to the items that we disclosed as our “Critical Accounting Estimates” in Management's Discussion and Analysis of Financial Condition and Results of Operations in our Form 10-K for the fiscal year ended December 31, 2025. A summary of significant accounting policies and a summary of recent accounting pronouncements applicable to our Consolidated Financial Statements are included in Note 2, “Summary of Significant Accounting Policies and Estimates.”

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Results of Operations (dollars in thousands):

	Three Months Ended September 30,				Nine Months Ended September 30,			
	2026		2025		2026		2025	
Revenue	$3,766,302	100.0 %	$2,450,969	100.0 %	$9,897,290	100.0 %	$6,455,574	100.0 %
Cost of services	2,831,820	75.2 %	1,843,098	75.2 %	7,364,168	74.4 %	4,934,390	76.4 %
Gross profit	934,482	24.8 %	607,871	24.8 %	2,533,122	25.6 %	1,521,184	23.6 %
Selling, general and administrative expenses	314,165	8.3 %	229,579	9.4 %	870,208	8.8 %	634,919	9.8 %
Gain on sale of assets	(4,253)	(0.1)%	(582)	—	(5,340)	(0.1)%	(1,580)	—
Operating income	624,570	16.6 %	378,874	15.5 %	1,668,254	16.9 %	887,845	13.8 %
Interest income	15,979	0.4 %	6,381	0.3 %	35,542	0.4 %	13,467	0.2 %
Interest expense	(1,482)	—	(2,974)	(0.1)%	(5,097)	(0.1)%	(6,198)	(0.1)%
Changes in the fair value of contingent earn-out obligations	(4,295)	(0.1)%	(12,103)	(0.5)%	(16,710)	(0.2)%	(19,934)	(0.3)%
Other income (expense)	284	—	280	—	1,456	—	(226)	—
Income before income taxes	635,056	16.9 %	370,458	15.1 %	1,683,445	17.0 %	874,954	13.6 %
Provision for income taxes	146,012		78,843		382,421		183,202	
Net income	$ 489,044	13.0 %	$ 291,615	11.9 %	$1,301,024	13.1 %	$ 691,752	10.7 %

We had 50 operating locations as of December 31, 2025. In the second quarter of 2026, we completed the acquisition of R.C. Hunt Electric, LLC (“Hunt”), which reports as a separate operating location. In the third quarter of 2026, we combined two operating locations into one operating location. Additionally, we completed the acquisitions of Boys Electrical Contractors, LLC (“Boys Electrical”) and a modular company in Texas, which both report as separate operating locations. We had 52 operating locations as of September 30, 2026. Acquisitions are included in our results of operations from the respective acquisition date. The same-store comparison from 2026 to 2025, as described below, excludes Boys Electrical, which was acquired on August 1, 2026, a modular company in Texas, which was acquired on August 1, 2026, Hunt, which was acquired on May 1, 2026, Feyen-Zylstra Holdings, LLC (“Feyen Zylstra”), which was acquired on October 1, 2025, Meisner Electric, Inc. (“Meisner”), which was acquired on October 1, 2025, and four months of results for Right Way Plumbing & Mechanical LLC (“Right Way”), which was acquired on May 1, 2025. An operating location is included in the same-store comparison on the first day it has comparable prior year operating data, except for immaterial acquisitions that are often absorbed and integrated with existing operations.

Revenue—Revenue for the third quarter of 2026 increased $1.32 billion, or 53.7%, to $3.77 billion compared to the same period in 2025. The increase included a 7.4% increase related to the Boys Electrical, a modular company in Texas, Hunt, Feyen Zylstra, and Meisner acquisitions, as well as a 46.3% increase in revenue related to same-store activity. The same-store revenue growth was largely driven by strong market

conditions, including the increase in our backlog. The increase in demand has been especially strong in the technology sector, particularly for data centers.

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The following table presents our operating segment revenue (dollars in thousands):

	Three Months Ended September 30,			
	2026		2025	
Revenue:				
Mechanical segment	$2,582,889	68.6 %	$1,810,462	73.9 %
Electrical segment	1,183,413	31.4 %	640,507	26.1 %
Total	$3,766,302	100.0 %	$2,450,969	100.0 %

Revenue for our mechanical segment increased $772.4 million, or 42.7%, to $2.58 billion for the third quarter of 2026 compared to the same period in 2025. Of this increase, $7.5 million resulted from the acquisition of a modular company in Texas and $764.9 million was attributable to same-store activity. The same-store revenue increase primarily resulted from an increase in activity in the technology sector at one of our Texas operations ($312.0 million), our large Texas modular operation ($177.8 million), and one of our North Carolina operations ($96.2 million).

Revenue for our electrical segment increased $542.9 million, or 84.8%, to $1.18 billion for the third quarter of 2026 compared to the same period in 2025. Of this increase, $174.1 million resulted from the acquisition of Boys Electrical, Hunt, Feyen Zylstra, and Meisner and $368.8 million was attributable to same-store activity. The same-store revenue increase primarily resulted from an increase in activity in the technology sector at our Texas electrical operation ($300.2 million).

Revenue for the first nine months of 2026 increased $3.44 billion, or 53.3%, to $9.90 billion compared to the same period in 2025. The increase included a 6.4% increase related to the Boys Electrical, a modular company in Texas, Hunt, Feyen Zylstra, Meisner, and Right Way acquisitions, as well as a 46.9% increase in revenue related to same-store activity. The same-store revenue growth was largely driven by strong market conditions, including the increase in our backlog. The increase in demand has been especially strong in the technology sector, particularly for data centers.

The following table presents our operating segment revenue (dollars in thousands):

	Nine Months Ended September 30,			
	2026		2025	
Revenue:				
Mechanical segment	$6,940,178	70.1 %	$4,851,349	75.1 %
Electrical segment	2,957,112	29.9 %	1,604,225	24.9 %
Total	$9,897,290	100.0 %	$6,455,574	100.0 %

Revenue for our mechanical segment increased $2.09 billion, or 43.1%, to $6.94 billion for the first nine months of 2026 compared to the same period in 2025. Of this increase, $36.8 million resulted from the acquisition of a modular company in Texas and Right Way and $2.05 billion was attributable to same-store activity. The same-store revenue increase primarily resulted from an increase in activity in the technology sector at one of our Texas operations ($712.8 million), one of our North Carolina operations ($344.8 million), our large Texas modular operation ($338.5 million), and one of our Indiana operations ($331.4 million).

Revenue for our electrical segment increased $1.35 billion, or 84.3%, to $2.96 billion for the first nine months of 2026 compared to the same period in 2025. Of this increase, $376.7 million resulted from the acquisition of Boys Electrical, Hunt, Feyen Zylstra, and Meisner and $976.2 million was attributable to same-store activity. The same-store revenue increase primarily resulted from an increase in activity in the

technology sector at our Texas electrical operation ($687.8 million) and in the manufacturing sector at one of our Kentucky operations ($134.2 million).

Backlog reflects revenue still to be recognized under contracted or committed installation and replacement project work. Project work generally lasts less than one year. Service agreement revenue, service work, and short duration projects, which are generally billed as performed, do not flow through backlog. Accordingly, backlog represents only a portion of our revenue for any given future period, and it represents revenue that is likely to be reflected in our operating results over the next six to 12 months. As a result, we believe the predictive value of backlog information is

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limited to indications of general revenue direction over the near term and should not be interpreted as indicative of ongoing revenue performance over several quarters.

The following table presents our operating segment backlog (dollars in thousands):

Backlog:	September 30, 2026		December 31, 2025		September 30, 2025	
Mechanical segment	$12,204,936	68.5 %	$ 9,026,661	75.6 %	$6,790,316	72.4 %
Electrical segment	5,609,906	31.5 %	2,917,940	24.4 %	2,586,522	27.6 %
Total	$17,814,842	100.0 %	$11,944,601	100.0 %	$9,376,838	100.0 %

Backlog as of September 30, 2026 was $17.81 billion, a 26.7% increase from June 30, 2026 backlog of $14.06 billion, and a 90.0% increase from September 30, 2025 backlog of $9.38 billion. The sequential backlog increase included the acquisition of Boys Electrical ($56.5 million) and a modular company in Texas ($27.4 million), as well as a same-store increase of $3.67 billion, or 26.1%. Same-store sequential backlog growth was primarily a result of increases in the technology sector at our Texas electrical operation ($1.51 billion), our large Texas modular operation ($978.1 million), one of our Virginia operations ($583.4 million), and one of our Texas operations ($505.7 million). The year-over-year backlog increase included the acquisitions of Hunt ($193.6 million), Feyen Zylstra ($79.3 million), Meisner ($72.3 million), Boys Electrical ($56.5 million), and a modular company in Texas ($27.4 million), as well as a same-store increase of $8.01 billion, or 85.4%. Same-store year-over-year backlog growth was primarily attributable to increases in the technology sector at our large Texas modular operation ($2.72 billion), our Texas electrical operation ($2.64 billion), one of our Texas operations ($1.04 billion), and one of our Virginia operations ($793.1 million).

Gross Profit—Gross profit increased $326.6 million, or 53.7%, to $934.5 million for the third quarter of 2026 as compared to the same period in 2025. The increase included a $24.2 million, or 4.0%, increase related to the Boys Electrical, a modular company in Texas, Hunt, Feyen Zylstra, and Meisner acquisitions, as well as a $302.4 million, or 49.7%, increase on a same-store basis. The same-store increase in gross profit was driven by a 46.3% increase in same-store revenues in the current year, as well as improved execution in our operations across numerous operating locations. The increase in gross profit was partially offset by favorable developments on certain large jobs in the third quarter of 2025, including recognition of $15.5 million of previously unrecognized revenue as a customer emerged from bankruptcy that did not recur in the current year. As a percentage of revenue, gross profit for the third quarter was 24.8% in both 2025 and 2026.

Gross profit increased $1.01 billion, or 66.5%, to $2.53 billion for the first nine months of 2026 as compared to the same period in 2025. The increase included a $62.7 million, or 4.1%, increase related to the Boys Electrical, a modular company in Texas, Hunt, Feyen Zylstra, Meisner, and Right Way acquisitions, as well as a $949.2 million, or 62.4%, increase on a same-store basis. The same-store increase in gross profit was driven by a 46.9% increase in same-store revenues in the current year, as well as improved execution in our operations across numerous operating locations. During the first quarter of 2026, we benefited from favorable developments on projects nearing completion, including change orders received on certain jobs during the quarter, of approximately $43.1 million. These favorable developments impacted both our mechanical and electrical segments, with the largest portion benefiting the mechanical segment. The increase in gross profit was partially offset by favorable developments on certain large jobs in the third quarter of 2025, including recognition of $15.5 million of previously unrecognized revenue as a customer emerged from bankruptcy that did not recur in the current year. As a percentage of revenue, gross profit for the nine-month period increased from 23.6% in 2025 to 25.6% in 2026, primarily due to the factors discussed above and improvements in our mechanical segment gross profit margin.

Selling, General and Administrative Expenses ("SG&A")—SG&A increased $84.6 million, or 36.8%, to $314.2 million for the third quarter of 2026 as compared to 2025. On a same-store basis, excluding amortization expense, SG&A increased $61.2 million, or 28.5%. The same-store increase was primarily due to higher same-store revenue and increased compensation costs ($41.2 million), largely attributable to increased headcount and increased cost of labor. Amortization expense increased $3.8 million during the period, primarily as a result of the Boys Electrical, Hunt, Feyen Zylstra, and Meisner acquisitions. As a percentage of revenue, SG&A for the third quarter decreased from 9.4% in 2025 to 8.3% in 2026 due to leverage resulting from the increase in revenue.

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SG&A increased $235.3 million, or 37.1%, to $870.2 million for the first nine months of 2026 as compared to 2025. On a same-store basis, excluding amortization expense, SG&A increased $181.2 million, or 30.7%. The same-store increase was primarily due to higher same-store revenue and increased compensation costs ($144.3 million), largely attributable to increased headcount and increased cost of labor. Amortization expense increased $8.3 million during the period, primarily as a result of the Boys Electrical, a modular company in Texas, Hunt, Feyen Zylstra, and Meisner acquisitions. As a percentage of revenue, SG&A for the nine-month period decreased from 9.8% in 2025 to 8.8% in 2026 due to leverage resulting from the increase in revenue.

We have included same-store SG&A, excluding amortization expense, because we believe it is an effective measure of comparative results of operations. However, same-store SG&A, excluding amortization, is not considered under generally accepted accounting principles to be a primary measure of an entity's financial results, and accordingly, should not be considered an alternative to SG&A as shown in our Consolidated Statements of Operations.

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2026	2025	2026	2025
	(in thousands)		(in thousands)	
SG&A	$ 314,165	$ 229,579	$ 870,208	$ 634,919
Less: SG&A from companies acquired	(19,610)	—	(45,832)	—
Less: Amortization expense	(18,795)	(15,030)	(52,689)	(44,436)
Same-store SG&A, excluding amortization expense	$ 275,760	$ 214,549	$ 771,687	$ 590,483

Interest Income—Interest income increased $9.6 million, or 150.4%, to $16.0 million for the third quarter of 2026 as compared to the same period in 2025. Interest income increased $22.1 million, or 163.9%, to $35.5 million for the first nine months of 2026 compared to the same period in 2025. The increase in interest income for the third quarter and first nine months of 2026 was primarily due to an increase in our average cash balance compared to the prior year.

Interest Expense—Interest expense decreased $1.5 million, or 50.2%, to $1.5 million for the third quarter of 2026 as compared to the same period in 2025. Interest expense decreased $1.1 million, or 17.8%, to $5.1 million, for the first nine months of 2026 compared to the same period in 2025. The decrease in interest expense for the third quarter and the first nine months of 2026 was primarily due to a decrease in our average outstanding debt balance compared to the prior year.

Changes in the Fair Value of Contingent Earn-out Obligations—The contingent earn-out obligations are measured at fair value each reporting period, and changes in estimates of fair value are recognized in earnings. Expense from changes in the fair value of contingent earn-out obligations for the third quarter of 2026 decreased $7.8 million, or 64.5%, as compared to the same period in 2025. The decrease in earn-out expense for the third quarter was primarily due to lower expense at one of our Texas operations, as a result of them achieving their maximum cumulative earn-out target in the prior year. Expense from changes in the fair value of contingent earn-out obligations for the first nine months of 2026 decreased $3.2 million, or 16.2%, as compared to the same period in 2025. The decrease in earn-out expense for the first nine months of 2026 was primarily due to lower expense at one of our Texas operations and one of our Florida operations, as a result of them achieving their maximum cumulative earn-out target in the prior year. The decrease in earn-out expense was partially offset by higher expense at Feyen Zylstra due to higher actual and projected earnings.

Provision for Income Taxes—Our provision for income taxes for the nine months ended September 30, 2026 was $382.4 million with an effective tax rate of 22.7% as compared to a provision for income taxes of $183.2 million with an effective tax rate of 20.9% for the same period in 2025. The effective tax rate for 2026 was higher than the 21% federal statutory rate primarily due to $39.6 million of net state income taxes (2.4%) and $15.4 million of nontaxable or nondeductible items (0.9%), partially offset by a $24.9 million credit for increasing research activities ("R&D tax credit") (1.5%). The effective tax rate for 2025 was slightly lower than the 21% federal statutory rate primarily due to a $24.2 million

R&D tax credit (2.8%) and recognizing $8.9 million of net interest income on our 2022 federal overpayment (1.0%), partially offset by $25.8 million of net state income taxes (3.0%) and $5.9 million of nontaxable or nondeductible items (0.7%).

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Outlook

We experienced an unprecedented demand environment in 2025 and through the first nine months of 2026, and we continue to experience increased labor costs and intermittent supply chain shortages, including delays in delivery of certain materials and equipment. We are recognizing these challenges in our job planning and pricing, and we are ordering materials on an earlier timeline and seeking to collaborate with customers to share supply risks and to mitigate the effects of these challenges. We have been generally successful in maintaining productivity and in procuring needed materials despite ongoing challenges.

We have a good pipeline of opportunities and potential backlog. Considering our substantial advance bookings, we anticipate high ongoing demand leading to solid earnings for the remainder of 2026. Although we are preparing for a wide range of challenges and economic circumstances, including a potential recession, we currently expect that supportive conditions for our industry, especially for our manufacturing and technology customers, are likely to continue for the remainder of 2026 and 2027.

Liquidity and Capital Resources

	Nine Months Ended September 30,	
	2026	2025
	(in thousands)	
Net cash provided by (used in):		
Operating activities	$2,538,380	$ 717,816
Investing activities	(788,573)	(235,996)
Financing activities	(573,678)	(171,236)
Net increase in cash and cash equivalents	$1,176,129	$ 310,584
Free cash flow:		
Net cash provided by operating activities	$2,538,380	$ 717,816
Purchases of property and equipment	(499,437)	(88,813)
Proceeds from sales of property and equipment	8,229	3,152
Free cash flow	$2,047,172	$ 632,155

Cash Flow

Our business does not require significant amounts of investment in long-term fixed assets. The substantial majority of the capital used in our business is working capital that funds our cost of labor and installed equipment deployed in project work until our customer pays us. Project contracts in our industry also frequently allow for a small portion of progress billings or contract price to be withheld by the customer until after we have completed the work. Amounts withheld under this practice are known as retention or retainage. Our average project duration, together with typical retention terms, generally allow us to complete the realization of revenue and earnings in cash within one year.

Net Cash Provided by Operating Activities—Cash flow from operations is primarily influenced by demand for our services and operating margins but can also be influenced by working capital needs associated with the various types of services that we provide. In particular, working capital needs may increase when we commence large volumes of work under circumstances where project costs – primarily associated with labor, equipment, and subcontractors – are required to be paid before the receivables resulting from the work performed are billed and collected. Working capital needs are generally higher during the late winter and spring months as we prepare and plan for the increased project demand when favorable weather conditions exist in the summer and fall months. Conversely, working capital assets are

typically converted to cash during the late summer and fall months as project completion is underway. These seasonal trends are sometimes offset by changes in the timing of major projects, which can be impacted by the weather, project delays, or accelerations and other economic factors that may affect customer spending.

Net cash provided by operating activities was $2.54 billion during the first nine months of 2026 compared to $717.8 million during the same period in 2025. The $1.82 billion increase in net cash provided by operating activities was primarily driven by higher earnings before non-cash expenses such as amortization of intangible assets in the current year and a $1.13 billion benefit from changes in billings in excess of costs and estimated earnings and deferred revenue

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driven by timing of customer billings and payments, including more net advance payments received in the current year as compared to the prior year. We also had a $876.2 million benefit from increases in accounts payable and other current liabilities driven by the size and timing of payments, including an $80.0 million federal tax payment in the first quarter of 2025 that otherwise would have been paid in the second half of 2024, as a result of tax relief from the IRS due to Hurricane Beryl that did not recur in the current year. Additionally, in 2023, we filed amended federal tax returns for 2019 and 2020 requesting refunds primarily from claiming the R&D tax credit. In July 2026, we received cash refunds totaling $29.8 million, which included $5.3 million (or $4.2 million, net of tax) of interest income. These increases in cash were partially offset by a $788.3 million increase in receivables, net. In 2023, we filed our 2022 federal tax return requesting a refund of our $107.1 million overpayment, which was received in April 2025 and positively impacted the second quarter of 2025 cashflow. Along with the refund, we received $11.3 million (or $8.9 million, net of tax) of interest income that reduced our provision for income taxes in the first quarter of 2025.

Net Cash Used in Investing Activities—During the first nine months of 2026, net cash used in investing activities was $788.6 million compared to $236.0 million during the same period in 2025. The $552.6 million increase in net cash used in investing activities was due to higher capital expenditures, primarily attributable to building purchases during the first nine months of 2026 to support growth in our mechanical segment. We expect capital expenditures through the end of 2026 and into 2027 to be higher than previous years as we continue to invest in the growth of our business.

Net Cash Used in Financing Activities—Net cash used in financing activities was $573.7 million for the first nine months of 2026 compared to $171.2 million during the same period in 2025. The $402.4 million increase in net cash used in financing activities was primarily due to an increase in share repurchases of $221.7 million and a decrease in proceeds from revolving credit facility in the current year compared to the same period in 2025. This increase was partially offset by a decrease in payments for contingent consideration arrangements in the current year compared to the same period in 2025.

Free Cash Flow—We define free cash flow as net cash provided by operating activities, less customary capital expenditures, plus the proceeds from asset sales. We believe free cash flow, by encompassing both profit margins and the use of working capital over our approximately one year working capital cycle, is an effective measure of operating effectiveness and efficiency. We have included free cash flow information here for this reason and because we are often asked about it by third parties evaluating us. However, free cash flow is not considered under generally accepted accounting principles to be a primary measure of an entity's financial results, and accordingly free cash flow should not be considered an alternative to operating income, net income, or amounts shown in our consolidated statements of cash flows as determined under generally accepted accounting principles. Free cash flow may be defined differently by other companies.

Share Repurchase Program

On March 29, 2007, our Board of Directors (the "Board") approved a stock repurchase program to acquire up to 1.0 million shares of our outstanding common stock. Subsequently, the Board has from time to time increased the number of shares that may be acquired under the program and approved extensions of the program. On May 16, 2025, the Board approved an extension to the program by increasing the shares authorized for repurchase by 0.4 million shares. Since the inception of the repurchase program, the Board has approved 11.8 million shares to be repurchased. As of September 30, 2026, we have repurchased a cumulative total of 11.1 million shares at an average price of $80.67 per share under the repurchase program.

The share repurchases will be made from time to time at our discretion in the open market or privately negotiated transactions, including pursuant to Rule 10b5-1 share repurchase plans, as permitted by securities laws and other legal requirements, and subject to market conditions and other factors. The Board may modify, suspend, extend, or terminate the program at any time. During the nine months ended September 30, 2026, we repurchased 0.2 million shares for $349.1 million, inclusive of the applicable excise tax, at an average price of $1,643.85 per share.

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Debt

Revolving Credit Facility

On August 27, 2025, we amended our senior credit facility (as amended, the "Facility") arranged by Wells Fargo Bank, National Association, as administrative agent, and provided by a syndicate of banks, which increases our borrowing capacity from $850.0 million to $1.10 billion. The Facility is composed of a revolving credit line guaranteed by certain of our subsidiaries, in the amount of $1.10 billion. The Facility also provides for an accordion or increase option not to exceed the greater of (a) $500.0 million and (b) 1.0x Credit Facility Adjusted EBITDA (as defined in the Facility), in the form of additional revolving commitments or incremental term loans. The line of credit includes a sublimit for up to $200.0 million of letters of credit and a sublimit for up to $75.0 million of swingline loans. The Facility expires on October 1, 2030 and is secured by a first lien on substantially all of our personal property, except for assets related to projects subject to surety bonds and the equity of and assets held by certain unrestricted subsidiaries and our wholly owned captive insurance company and a second lien on our assets related to projects subject to surety bonds. As a result of the amendment, $0.3 million of unamortized costs associated with lenders who exited the Facility were written off to interest expense in the third quarter of 2025. The remaining $1.0 million of unamortized costs from the previous facility will be deferred and amortized over the term of the new Facility. In 2025, we incurred $3.7 million in financing and professional costs in connection with the amendment to the Facility, which, combined with previously unamortized costs of $1.0 million, are being amortized on a straight-line basis as a non-cash charge to interest expense over the remaining term of the Facility. As of September 30, 2026, we had no outstanding borrowings on the revolving credit facility, $86.0 million in letters of credit outstanding, and $1.01 billion of credit available.

There are two interest rate options for borrowings under the Facility, the Base Rate Loan (as defined in the Facility) option and the Secured Overnight Financing Rate ("SOFR") Loan option. These interest rates are floating rates determined by the broad financial markets, meaning they can and do move up and down from time to time. Additional margins are then added to these two interest rates.

Certain of our vendors require letters of credit to ensure reimbursement for amounts they are disbursing on our behalf, such as to beneficiaries under our self-funded insurance programs. We have also occasionally used letters of credit for certain contracts to guarantee performance and ensure payment to our subcontractors and vendors. Our lenders issue such letters of credit through the Facility. A letter of credit commits the lenders to pay specified amounts to the holder of the letter of credit if the holder demonstrates that we have failed to perform specified actions. If this were to occur, we would be required to reimburse the lenders for amounts they fund to honor the letter of credit holder's claim. Absent a claim, there is no payment or reserving of funds by us in connection with a letter of credit. However, because a claim on a letter of credit would require immediate reimbursement by us to our lenders, letters of credit are treated as a use of Facility capacity. The letter of credit fees range from 1.00% to 2.00% per annum, based on the Net Leverage Ratio.

As of September 30, 2026, we have $86.0 million in letter of credit commitments, of which $69.1 million will expire in 2026 and $16.9 million will expire in 2027. The substantial majority of these letters of credit are posted with insurers who disburse funds on our behalf in connection with our workers' compensation, auto liability, and general liability insurance program. These letters of credit provide additional security to the insurers that sufficient financial resources will be available to fund claims on our behalf, many of which develop over long periods of time, should we ever encounter financial duress. Posting of letters of credit for this purpose is a common practice for entities that manage their self-insurance programs through third-party insurers as we do. While some of these letter of credit commitments expire in the next 12 months, we expect nearly all of them, particularly those supporting our insurance programs, will be renewed annually.

Commitment fees are payable on the portion of the revolving loan capacity not in use for borrowings or letters of credit at any given time. These fees range from 0.15% to 0.25% per annum, based on the Net Leverage Ratio.

The Facility contains financial covenants defining various financial measures and the level of these measures with which we must comply. Covenant compliance is assessed as of each quarter end. We were in compliance with all of our financial covenants as of September 30, 2026.

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Notes to Former Owners

We have outstanding notes to the former owners of our acquired companies. Together, these notes had an outstanding balance of $49.0 million as of September 30, 2026. On September 30, 2026, future principal payments of notes to former owners by maturity year were as follows (dollars in thousands):

	Balance at September 30, 2026	Range of Stated Interest Rates
2027	$ 10,700	4.0 - 4.3 %
2028	14,250	4.3 - 5.5 %
2029	24,000	4.5 %
Total	$ 48,950	

Outlook

We have generated positive net free cash flow for the last 27 calendar years, much of which occurred during challenging economic and industry conditions. We also continue to have significant borrowing capacity under our credit facility, and we maintain what we feel are reasonable cash balances. We believe these factors will provide us with sufficient liquidity to fund our operations for the foreseeable future.

Other Commitments

Many customers, particularly in connection with new construction, require us to post performance and payment bonds issued by a financial institution known as a surety. If we fail to perform under the terms of a contract or to pay subcontractors and vendors who provided goods or services under a contract, the customer may demand that the surety make payments or provide services under the bond. We must reimburse the surety for any expenses or outlays it incurs.

Under standard terms in the surety market, sureties issue bonds on a project-by-project basis and can decline to issue bonds at any time. Historically, approximately 10% to 20% of our business has required bonds. While we currently have strong surety relationships to support our bonding needs, future market conditions or changes in the sureties' assessments of our operating and financial risk could cause our sureties to decline to issue bonds for our work. If that were to occur, our alternatives include doing more business that does not require bonds, posting other forms of collateral for project performance, such as letters of credit or cash, and seeking bonding capacity from other sureties. We would likely also encounter concerns from customers, suppliers, and other market participants as to our creditworthiness. While we believe our general operating and financial characteristics would enable us to ultimately respond effectively to an interruption in the availability of bonding capacity, such an interruption would likely cause our revenue and profits to decline in the near term.

Cautionary Statement Concerning Forward-Looking Statements

Certain statements and information in this Quarterly Report on Form 10-Q may constitute forward-looking statements regarding our future business expectations, which are subject to applicable securities laws and regulations. The words "believe," "expect," "anticipate," "plan," "intend," "foresee," "should," "would," "could," or other similar expressions are intended to identify forward-looking statements, which are generally not historic in nature. These forward-looking statements are based on the current expectations and beliefs of the Company concerning future developments and their effect on the Company. While the Company's management believes that these forward-looking statements are reasonable as and when made, there can be no assurance that future developments affecting the Company will be those that it anticipates, and the Company's actual results of operations, financial condition and liquidity, and the development of the industry in which the Company operates, may differ materially from those made in or suggested by the forward-looking statements contained in this Quarterly Report on Form 10-Q. In addition, even if our results of operations, financial condition and liquidity, and the development of the industry in which we operate, are consistent with the forward-looking statements contained in this

Quarterly Report on Form 10-Q, those results or developments may not be indicative of our results or developments in subsequent periods. All comments concerning the Company's expectations for future revenue and operating results are based on the Company's forecasts for its existing operations and do not include the potential impact of any future acquisitions. The Company's forward-looking statements involve

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significant risks and uncertainties (some of which are beyond the Company's control) and assumptions that could cause actual future results to differ materially from the Company's historical experience and its present expectations or projections. Important factors that could cause actual results to differ materially from those in the forward-looking statements include, but are not limited to: the use of incorrect estimates for bidding a fixed-price contract; undertaking contractual commitments that exceed the Company's labor resources; failing to perform contractual obligations efficiently enough to maintain profitability; national or regional weakness in construction activity and economic conditions; economic downturns in the markets where the Company operates; shortages of labor and specialty building materials or material increases to the cost thereof; financial difficulties affecting projects, vendors, customers, or subcontractors; unexpected adjustments or cancellations in our backlog resulting in the Company's backlog failing to translate into actual revenue or profits; inflation, supply chain disruptions, and capital market volatility; the loss of significant customers; intense competition in the Company's industry; risks associated with acquisitions, including the ability to successfully integrate those companies; impairment charges for goodwill and intangible assets; reductions or reversals of previously recorded revenue or profits as a result of the Company's cost-to-cost input method of accounting; difficulties in the financial and surety markets; delays and/or defaults in customer payments; difficult work environment; worldwide political and economic uncertainties, including international conflicts and epidemics or pandemics; attraction and retention of key management and employees; the Company's decentralized management structure; our ability to effectively manage our backlog and the size and cost of our operations; failure of third party subcontractors and suppliers to complete work as anticipated; difficulty in obtaining, or increased costs associated with, bonding and insurance; our ability to remain in compliance with covenants under our credit agreement, service our indebtedness, or fund our other liquidity needs; our inability to properly utilize our workforce; increases and uncertainty in insurance costs; regulatory and legal risks, including adverse litigation results, failure to comply with laws and regulations; changes in United States trade policy, and tax-related risks; the imposition of past and future liability from environmental, safety, and health regulations including the inherent risk associated with self-insurance; an increase in our effective tax rate; a material information technology failure or a material cybersecurity breach; risks related to our common stock; failure or circumvention of our disclosure controls and procedures or internal control environment; our ability to manage growth and geographically-dispersed operations; severe weather conditions (such as storms, droughts, extreme heat or cold, wildfires and floods), including as a result of climate change, and any resulting regulations or restrictions related thereto; force majeure events; deliberate, malicious acts, including terrorism and sabotage; findings of inadequate internal controls; changes in accounting rules and regulations; and other risks detailed in our reports filed with the SEC.

For additional information regarding known material factors that could cause the Company's results to differ from its projected results, please see its filings with the SEC, including its Annual Reports on Form 10-K, Quarterly Reports on Form 10-Q, and Current Reports on Form 8-K.

Readers are cautioned not to place undue reliance on forward-looking statements, which speak only as of the date hereof. The Company undertakes no obligation to publicly update or revise any forward-looking statements after the date they are made, whether because of new information, future events, or otherwise, except as otherwise required by law.

Item 3. ***Quantitative and Qualitative Disclosures about Market Risk***

We are exposed to market risk primarily related to potential adverse changes in interest rates. At times, we use derivative financial instruments to manage our interest rate risk. There is some market risk from fluctuations in the prices of certain commodities and materials due to tariffs or other macroeconomic factors. In many cases, these increased costs are recoverable, and we do not expect these potential cost increases to have a material impact on our results of operations. We are actively involved in monitoring exposure to market risk and continue to develop and utilize appropriate risk management techniques. We are not exposed to any other significant financial market risks or foreign currency exchange risk from the use of derivative financial instruments.

There were no outstanding borrowings on the revolving credit facility as of September 30, 2026. The weighted average interest rate applicable to the borrowings under the revolving credit facility was

approximately 5.0% as of December 31, 2025. Our debt with fixed interest rates consists of notes to former owners of acquired companies and acquired notes payable.

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We measure certain assets at fair value on a nonrecurring basis. These assets are recognized at fair value when they are deemed to be other-than-temporarily impaired. We did not recognize any impairments in the current year on those assets required to be measured at fair value on a nonrecurring basis.

The valuation of the Company's contingent earn-out payments is determined using a probability weighted discounted cash flow method. This analysis reflects the contractual terms of the purchase agreements (*e.g.*, minimum and maximum payment, length of earn-out periods, manner of calculating any amounts due, etc.) and utilizes assumptions with regard to future cash flows, probabilities of achieving such future cash flows, and a discount rate.

Item 4. ***Controls and Procedures***

Evaluation of Disclosure Controls and Procedures

Our executive management is responsible for ensuring the effectiveness of the design and operation of our disclosure controls and procedures. We carried out an evaluation under the supervision and with the participation of our management, including our Chief Executive Officer and Chief Financial Officer, of the effectiveness of the design and operation of our disclosure controls and procedures (as defined in Rules 13a-15(e) and 15d-15(e) under the Securities Exchange Act of 1934) as of the end of the period covered by this report. Based on that evaluation, our Chief Executive Officer and Chief Financial Officer have concluded that our disclosure controls and procedures (as defined in Rules 13a-15(e) and 15d-15(e) of the Securities Exchange Act of 1934) were effective as of the end of the period covered by this report.

Changes in Internal Control over Financial Reporting

There have not been any changes in our internal control over financial reporting (as such term is defined in Rules 13a-15(f) and 15d-15(f) under the Securities Exchange Act of 1934) during the three months ended September 30, 2026 that have materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

PART II—OTHER INFORMATION

Item 1. ***Legal Proceedings***

We are subject to certain legal and regulatory claims, including lawsuits arising in the normal course of business. We maintain various insurance coverages to minimize financial risk associated with these claims. We have estimated and provided accruals for probable losses and related legal fees associated with certain litigation in our consolidated financial statements. While we cannot predict the outcome of these proceedings, in management's opinion and based on reports of counsel, any liability arising from these matters individually and in the aggregate will not have a material effect on our operating results, cash flows, or financial condition, after giving effect to provisions already recorded.

As of September 30, 2026, we recorded an accrual for unresolved matters, which is not material to our financial statements, based on our analysis of likely outcomes related to the respective matters; however, it is possible that the ultimate outcome and associated costs will deviate from our estimates and that, in the event of an unexpectedly adverse outcome, we may experience additional costs and expenses in future periods.

Item 1A. ***Risk Factors***

In addition to the other information set forth in this report, you should carefully consider the factors discussed in Part 1, "Item 1A. Risk Factors" in our Form 10-K for the year ended December 31, 2025, which could materially affect our business, financial condition, or future results. Additional risks and

uncertainties not currently known to us or that we currently deem to be immaterial also may materially adversely affect our business, financial condition, or future results.

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Item 2. ***Unregistered Sales of Equity Securities and Use of Proceeds***

Recent Sales of Unregistered Securities

None.

Issuer Purchases of Equity Securities

On March 29, 2007, our Board approved a stock repurchase program to acquire up to 1.0 million shares of our outstanding common stock. Subsequently, the Board has from time to time increased the number of shares that may be acquired under the program and approved extensions of the program. On May 16, 2025, the Board approved an extension to the program by increasing the shares authorized for repurchase by 0.4 million shares. Since the inception of the repurchase program, the Board has approved 11.8 million shares to be repurchased. As of September 30, 2026, we have repurchased a cumulative total of 11.1 million shares at an average price of $80.67 per share under the repurchase program.

The share repurchases will be made from time to time at our discretion in the open market or privately negotiated transactions, including pursuant to Rule 10b5-1 share repurchase plans, as permitted by securities laws and other legal requirements, and subject to market conditions and other factors. The Board may modify, suspend, extend, or terminate the program at any time. During the nine months ended September 30, 2026, we repurchased 0.2 million shares for $349.1 million, inclusive of the applicable excise tax, at an average price of $1,643.85 per share.

During the quarter ended September 30, 2026, we purchased shares of our common stock in the following amounts at the following average prices:

Period	Total Number of Shares Purchased	Average Price Paid Per Share	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs (1)	Maximum Number of Shares that May Yet Be Purchased Under the Plans or Programs
July 1 - July 31	66,200	$ 1,668.30	10,950,578	807,386
August 1 - August 31	100,487	$ 1,664.06	11,051,065	706,899
September 1 - September 30	39,985	$ 1,582.00	11,091,050	666,914
	206,672	$ 1,649.54	11,091,050	666,914

(1) Purchased as part of a stock repurchase program announced on March 29, 2007, under which, since the inception of this program, 11.8 million shares have been approved for repurchase.

Under our stock incentive plans, employees may elect to have us withhold common shares to satisfy statutory federal, state, and local tax withholding obligations arising on the vesting of restricted stock awards and exercise of options. When we withhold these shares, we are required to remit to the appropriate taxing authorities the market price of the shares withheld, which could be deemed a purchase of the common shares by us on the date of withholding.

Item 5. ***Other Information***

Securities Trading Plans of Directors and Officers

During the three months ended September 30, 2026, no directors or officers of the Company adopted or terminated a “Rule 10b5-1 trading arrangement” or “non-Rule 10b5-1 trading arrangement,” as defined in Item 408(a) and (c) of Regulation S-K.

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Item 6. ***Exhibits***

Exhibit Number	Description of Exhibits	Incorporated by Reference to the Exhibit Indicated Below and to the Filing with the Commission Indicated Below	
		Exhibit Number	Filing or File Number
3.1	Second Amended and Restated Certificate of Incorporation of the Registrant	3.1	333-24021
3.2	Certificate of Amendment dated May 21, 1998	3.2	1998 Form 10-K
3.3	Certificate of Amendment dated July 9, 2003	3.3	2003 Form 10-K
3.4	Certificate of Amendment dated May 20, 2016	3.1	May 20, 2016 Form 8-K
3.5	Amended and Restated Bylaws of Comfort Systems USA, Inc.	3.1	March 25, 2016 Form 8-K
31.1*	Certification of Chief Executive Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002		
31.2*	Certification of Chief Financial Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002		
32.1**	Certification of Chief Executive Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002		
32.2**	Certification of Chief Financial Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002		
101.INS*	Inline XBRL Instance Document		
101.SCH*	Inline XBRL Taxonomy Extension Schema Document		
101.CAL*	Inline XBRL Taxonomy Extension Calculation Linkbase Document		
101.DEF*	Inline XBRL Taxonomy Extension Definition Linkbase Document		
101.LAB*	Inline XBRL Taxonomy Extension Label Linkbase Document		
101.PRE*	Inline XBRL Taxonomy Extension Presentation Linkbase		
104	Cover Page Interactive Data File (the cover page XBRL tags are embedded in the Inline XBRL document)		

*** Filed herewith.**
**** Furnished herewith.**

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SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

COMFORT SYSTEMS USA, INC.

October 22, 2026 By: /s/ BRIAN E. LANE
Brian E. Lane
Chief Executive Officer and Director

October 22, 2026 By: /s/ WILLIAM GEORGE
William George
Executive Vice President and Chief Financial Officer

October 22, 2026 By: /s/ JULIE S. SHAEFF
Julie S. Shaeff
Senior Vice President and Chief Accounting Officer